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Report Highlights:

Marketing Year (MY) 2026/27 European Union oilseed production is forecast to increase, mainly due to high rapeseed and sunflower production. This follows very high oilseed production in MY 2025/26, especially for rapeseed. MY 2026/27 oilseed imports are expected to decrease due to higher availability of sunflower and rapeseed. Rapeseed and sunflower meal are expected to increase in feed mixtures, while less soybean and palm kernel meal are used due to anticipated EU Deforestation Regulation (EUDR) compliance costs. Higher oil production is expected in MY 2026/27 due to an increase in overall crush, facilitating higher exports.

Introduction

This report presents the outlook for oilseeds in the EU. The data in this report is based on the views of Foreign Agricultural Service (FAS) analysts in the EU and is not official USDA data.

Disclaimer / Important Notes:

USDA official numbers in this report include the World Agricultural Supply and Demand Estimates (WASDE) March 2026 release.

In this report the term "biofuel" includes only biofuels used in the transport sector. Biomass/biofuel used for electricity production or other technical uses such as lubricants or in detergents are included in "industrial use."

Trade figures are revised according to the most recent data available from Trade Data Monitor (December 2025, Olive Oil: January 2026).

The term European Union (EU) refers to the current [EU27 member states](#) (MS).

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The FAS EU oilseeds reporting team would like to thank the following FAS non-EU analyst for his valuable input:

Denys Sobolev, FAS/Kiev covering Ukraine

Also, the FAS EU oilseeds reporting team would like to thank the FAS/GMA Washington team for their valuable input and support.

The marketing years (MY) used in this report are:

January - December

Copra complex

Palm kernel complex

Palm oil

Fish meal

July - June

Rapeseed complex

October - September

Soybean complex

Sunflower complex

Cottonseed complex

Peanut complex

November - October

Olive oil

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1. Executive Summary / Total Oilseeds

Please find the details for specific commodities in their respective sections of this report.

Note: Total oilseeds include different MYs with different beginning and ending months.

Total Oilseeds – Seeds

Table 1: Oilseeds, Total Oilseeds – Production, Supply, and Distribution

Oilseed, Total Oilseeds	2024/2025		2025/2026		2026/2027	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
European Union						
Area Harvested (1000 HA)	11,683	11,624	11,749	11,842		12,271
Beginning Stocks (1000 MT)	3,841	3,841	4,230	3,803		3,363
Production (1000 MT)	28,193	28,722	31,605	32,006		33,301
MY Imports (1000 MT)	24,204	24,218	21,185	21,570		21,060
Total Supply (1000 MT)	56,238	56,781	57,020	57,379		57,724
MY Exports (1000 MT)	1,580	1,599	1,795	1,758		1,455
Crush (1000 MT)	46,285	47,189	47,035	48,095		48,585
Food Use Dom. Cons. (1000 MT)	1,600	1,581	1,590	1,540		1,540
Feed Waste Dom. Cons. (1000 MT)	2,543	2,609	2,488	2,623		2,573
Total Dom. Cons. (1000 MT)	50,428	51,379	51,113	52,258		52,698
Ending Stocks (1000 MT)	4,230	3,803	4,112	3,363		3,571
Total Distribution (1000 MT)	56,238	56,781	57,020	57,379		57,724

(1000 HA) ,(1000 MT) ,(MT/HA)

Note: Total Oilseeds includes the following: soybean, rapeseed, sunflower, and peanut.

Source: FAS EU

Total oilseeds area in the EU is forecast to recover by almost 4 percent in MY 2026/27, mainly due to higher rapeseed and sunflower area. Post estimates MY 2025/26 area increased nearly 2 percent largely due to rapeseed area increases. Larger area planted as well as improved sunflower yields are forecast to result in increased production in MY 2026/27. MY 2025/26 production is estimated to jump 10 percent year-on-year, driven by increased rapeseed production due to favorable planting and growing conditions in many areas in the EU. Spring planting across the EU is progressing under generally positive conditions, supported by sufficient soil moisture. While north-eastern Europe has been especially dry, heavy rainfall was noted in parts of eastern Europe as well as in south-western Europe, which led to some flooding. However, negative impacts from flooding on production are expected to be limited.¹

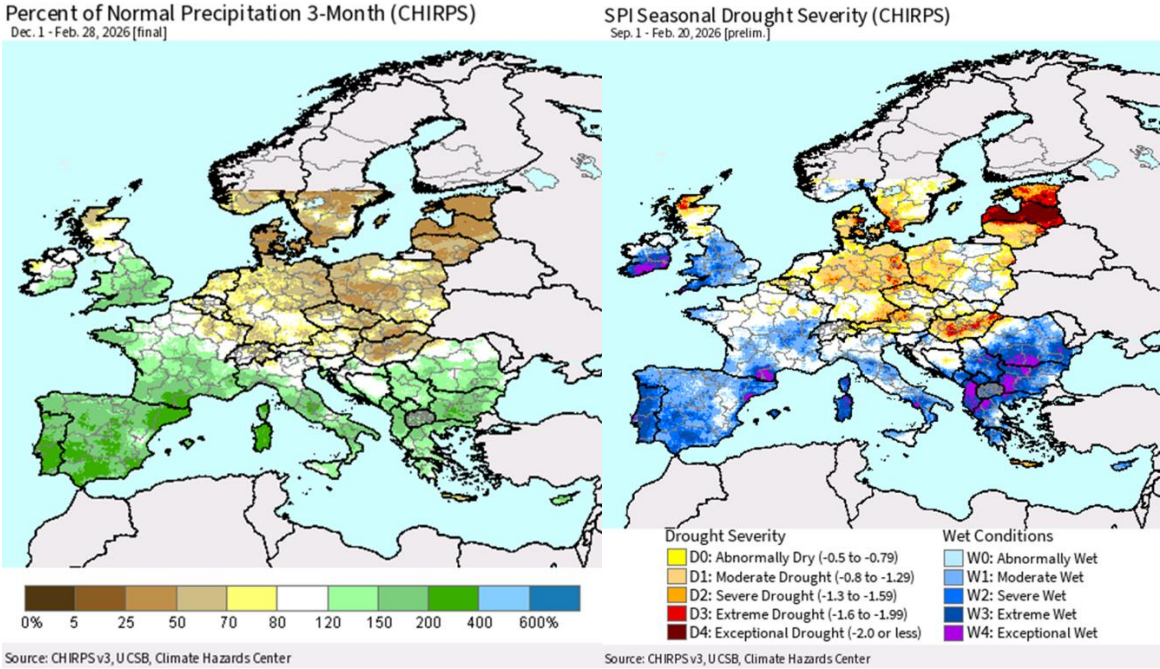
¹ https://joint-research-centre.ec.europa.eu/jrc-news-and-updates/crops-exit-winter-dormancy-favourable-conditions-2026-03-23_en.

Figure 1: Oilseeds Production and Area (in 1,000 MT, HA)

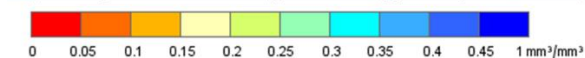
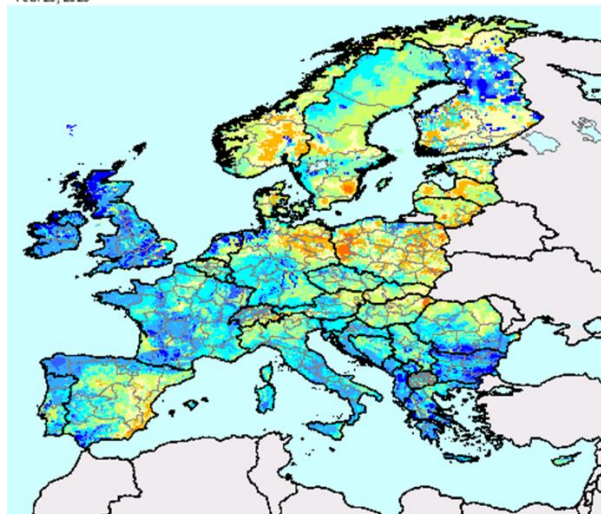


Source: FAS EU

Figure 2: Precipitation, Drought Severity and Soil Moisture in Europe

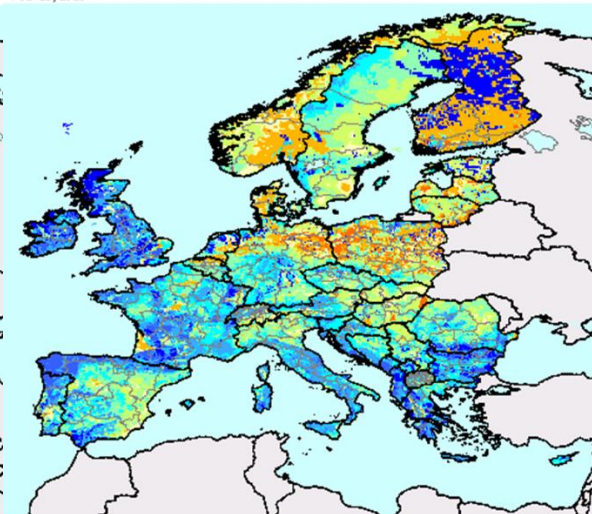


SMAP Surface (0-5 cm) Soil Moisture (m^3/m^3)
Feb. 20, 2026



Source: SMAP L4 v08 Soil Moisture (NASA/GMAO)

SMAP Root Zone (0-100 cm) Soil Moisture (m^3/m^3)
Feb. 20, 2026

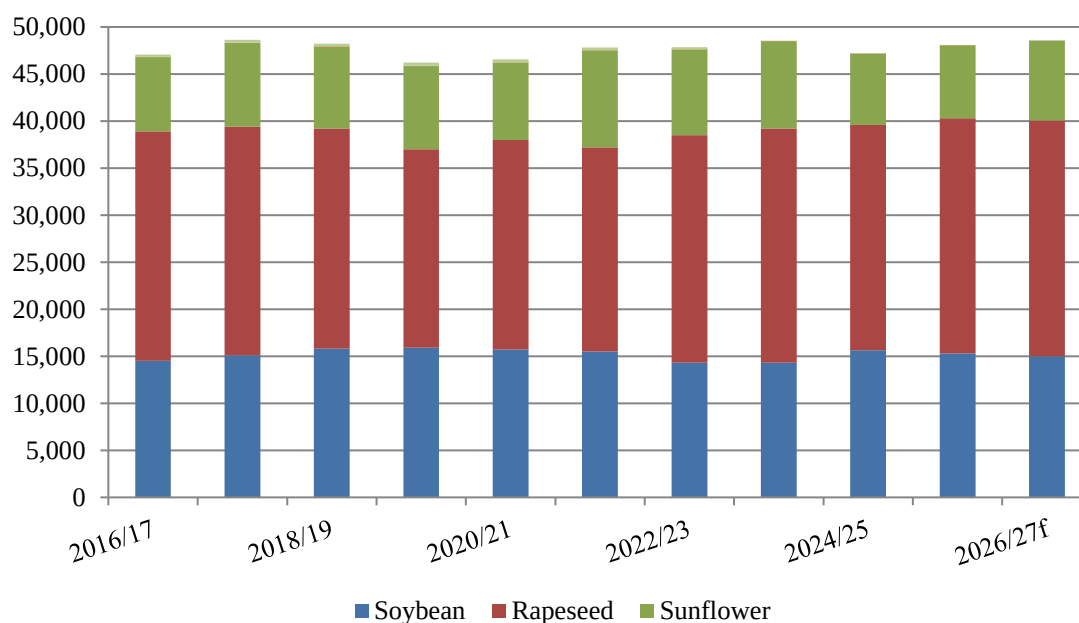


Source: SMAP L4 v08 Soil Moisture (NASA/GMAO)

Source: IPAD/FAS/USDA

Overall oilseed imports are projected to decline year-on-year due to higher domestic production in MY 2026/27, with sunflower production increasing over 14 percent and soybean production by 5.5 percent year-on-year. Overall exports are forecast to decrease by over 17 percent in MY 2026/27, mostly due to lower rapeseed and sunflower exports. Exports in MY 2025/26 are estimated to increase, mostly driven by high rapeseed production.

Figure 3: EU Oilseeds Crush (in 1,000 MT)



Source: FAS EU

Total Oilseeds – Meals

Table 2: Meals, Total Oilseeds – Production, Supply, and Distribution

Meal, Total Oilseeds	2024/2025		2025/2026		2026/2027	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	46,285	47,189	47,035	48,095		48,585
Beginning Stocks (1000 MT)	1,732	1,732	2,573	1,967		2,145
Production (1000 MT)	29,548	29,885	29,896	30,465		30,785
MY Imports (1000 MT)	24,896	24,922	24,150	23,675		23,175
Total Supply (1000 MT)	56,176	56,539	56,619	56,107		56,105
MY Exports (1000 MT)	2,061	2,057	1,918	2,000		2,000
Industrial Dom. Cons. (1000 MT)	520	520	520	520		520
Food Use Dom. Cons. (1000 MT)	32	37	32	37		37
Feed Waste Dom. Cons. (1000 MT)	50,990	51,958	51,744	51,405		51,410
Total Dom. Cons. (1000 MT)	51,542	52,515	52,296	51,962		51,967
Ending Stocks (1000 MT)	2,573	1,967	2,405	2,145		2,138
Total Distribution (1000 MT)	56,176	56,539	56,619	56,107		56,105
(1000 MT)						

Note: Total Oilseed Meals includes the following: soybean, rapeseed, sunflower, palm kernel, and peanut.

Source: FAS EU

Post forecasts a 1 percent increase in MY 2026/27 overall oilseed meal production due to a higher overall crush, especially for sunflower and rapeseed. Production is almost 2 percent higher for MY 2025/26 than in the previous MY due to very high rapeseed production (up 20 percent year-on-year) and a 5 percent increase in rapeseed crushing as well as an over 2 percent increase in sunflower crushing. In MY 2025/26, soybean meal production is expected to decrease by less than 2 percent.

Post anticipates MY2026/27 feed use will remain largely unchanged, as decreases in the EU livestock and dairy herd and increases in poultry production offset each other. More meal demand may also be supplied by the grain sector due to large amounts of price-competitive grain, resulting in some substitution from oilseeds to grains. For more details on animals, animal products, and feed demand, please check related reports under the following links and review the [FAS GAIN Database](#)² for the most recent updates:

[EU Poultry and Products Semi-Annual 2026](#)

[EU Livestock and Products Semi-Annual 2026](#)

[EU Dairy and Products Annual 2025](#)

[EU Grain and Feed Quarterly, Dec. 2025](#)

Post projects MY 2026/27 rapeseed meal feed use will remain steady year-on-year, while soybean and palm kernel meal are expected to slightly decline. Sunflower meal feed use is forecast to increase due to

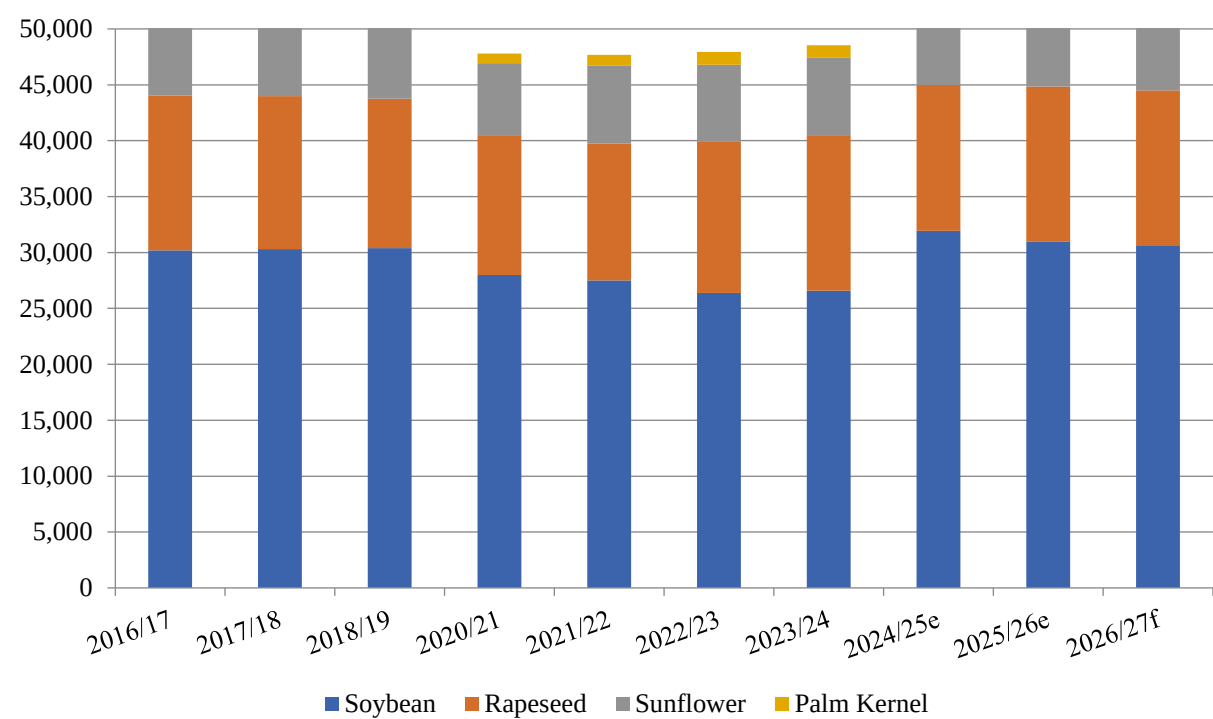
² <https://gain.fas.usda.gov/#/search>

higher domestic production. Soybean meal and palm kernel meal may face pricing disadvantages due to compliance costs associated with implementation of the EU Deforestation Regulation (EUDR), which was delayed until December 2026. However, several local sources report that many companies are better equipped to comply with EUDR requirements than they were in MY 2025/26.

Post anticipates soybean meal feed use will continue to have a “floor” due to its unique role as a supplier of lysine, a key amino acid for feed products. In January 2025, the EU imposed anti-dumping duties on Chinese lysine, making lysine additives less commercially viable and other oilseeds cannot be substituted for this purpose.

In MY 2025/26, less oilseed meals are also expected in feed year-on-year due to the high availability and price competitiveness of grains. However, rapeseed meal feed use is estimated to increase over 6 percent year-on-year due to increased production.

Figure 4: EU Oilseed Meals – Feed, Seed, Waste Use (in 1,000 MT)



e = estimate, f = forecast

Source: FAS EU

Total Oilseeds – Oils

Table 3: Oils, Total Oilseeds – Production, Supply, and Distribution

Oil, Total Oilseeds	2024/2025		2025/2026		2026/2027	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
European Union						
Crush (1000 MT)	46,285	47,189	47,035	48,095		48,585
Beginning Stocks (1000 MT)	2,597	2,597	2,079	2,412		2,403
Production (1000 MT)	18,025	18,260	18,378	18,718		18,963
MY Imports (1000 MT)	7,386	7,358	7,910	7,145		6,685
Total Supply (1000 MT)	28,008	28,215	28,367	28,275		28,051
MY Exports (1000 MT)	2,942	2,868	3,061	2,931		3,246
Industrial Dom. Cons. (1000 MT)	10,195	10,203	10,275	10,275		10,165
Food Use Dom. Cons. (1000 MT)	12,574	12,519	12,702	12,473		12,517
Feed Waste Dom. Cons. (1000 MT)	218	213	218	193		188
Total Dom. Cons. (1000 MT)	22,987	22,935	23,195	22,941		22,870
Ending Stocks (1000 MT)	2,079	2,412	2,111	2,403		1,935
Total Distribution (1000 MT)	28,008	28,215	28,367	28,275		28,051
(1000 MT)						

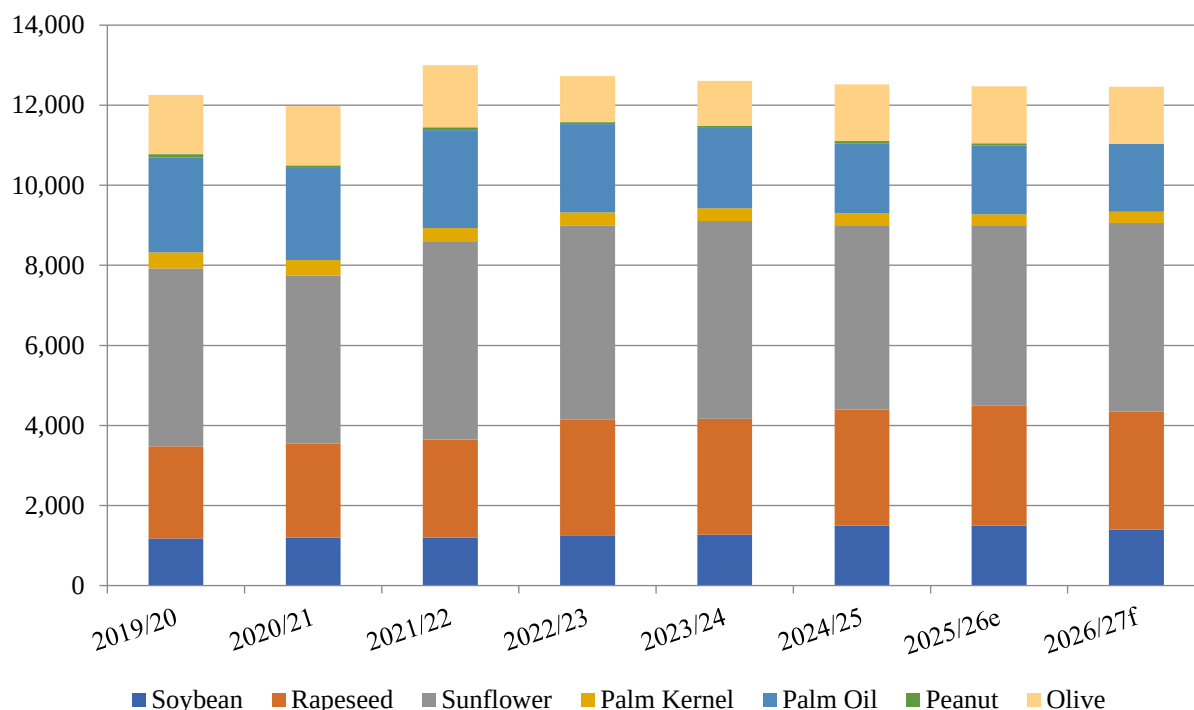
Note: Total Oilseed Oils includes the following: soybean, rapeseed, sunflower, palm kernel, palm oil, peanut, and olive oil.

Source: FAS EU

MY 2026/27 total oil production is projected to increase following higher crushing levels, mainly driven by a 14 percent rise in sunflower seed production. Overall oil imports are projected to decrease over 6 percent year-on-year in MY 2026/27, mainly due to higher domestic EU production. Overall oil exports are projected to increase mainly due to an over 30 percent increase in soybean oil exports as the EU biofuel industry continues to switch to alternative feedstocks, resulting in a diversion of oil to foreign markets. Please see the [EU Biofuels Annual 2025](#) for more information. MY 2026/27 oil food use is expected to remain constant due to flat demand. Post anticipates olive and sunflower oil will remain the most popular choices for human consumption due to perceived health and environmental benefits. Sunflower oil food use is expected to increase by nearly 5 percent due to higher production and anticipated lower prices. MY 2026/27 industrial consumption is anticipated to decrease slightly year-on-year as waste and residues gain an increasing share of EU biofuel use.

MY 2025/26 oil production is estimated to slightly increase year-on-year, mainly driven by large rapeseed production and crush. High rapeseed production, decreasing demand for palm oil and lower demand for soybean oil led to an overall decrease in oil imports of almost 3 percent. Post estimates a 2 percent increase in total MY 2025/26 oil exports, mainly driven by increased soybean and rapeseed oil exports. Industrial consumption is expected to decrease by about 6 percent year-on-year. While biofuel use is not expected to decrease, certain feedstock, such as palm oil, have become increasingly unattractive as many Member States (MS) phase out their use. Food use remains almost unchanged year-on-year.

Figure 5: EU Oilseed Oils, Food Use (in 1,000 MT)



e = estimate, f = forecast

Source: FAS EU

Policy

In 2025, the European Commission signed new free trade agreements with Mexico and Mercosur. These new agreements include the elimination of tariffs and new tariff rate quotas for imports and exports of oilseeds products and may impact trade flows. While these agreements call for quick removal of tariffs on EU olive oil exports, tariffs on other oilseeds and oilseed products are scheduled to phase out beyond MY 2026/27.

The EU Renewable Energy Directive (REDII) requires all biofuels used in the EU, whether produced in the EU or a third country, to demonstrably meet sustainability criteria through compliance certification. The REDII puts in place a freeze on the use of high-risk indirect land use change (ILUC) biofuels at 2019 levels and a requirement to phase them out completely by 2030. Currently, only palm oil falls under this definition and will need to be phased out by 2030. However, the European Commission has published a draft regulation with new calculations. If adopted, both palm oil and soybeans would fall under the definition of high ILUC-risk feedstock and be banned for biofuel use by 2030.

In June 2023, the EU adopted the EUDR, a regulation to prevent products causing deforestation from entering the EU market. The regulation targets products identified by the European Commission as the

main drivers of deforestation including soybeans, soy products, and palm oil. The regulation's entry into force has been delayed twice and is now scheduled to enter into force on December 30, 2026.

For more information, please see the policy section at the end of the report.

2. Soybean Complex

Soybean Seed

Table 4: Oilseed, Soybean – Production, Supply and Distribution

Oilseed, Soybean Market Year Begins	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
European Union						
Area Planted (1000 HA)	1200	0	1200	0		0
Area Harvested (1000 HA)	1127	1119	1070	1061		1090
Beginning Stocks (1000 MT)	1288	1288	1600	1296		901
Production (1000 MT)	2930	3001	2785	2845		3000
MY Imports (1000 MT)	14710	14710	14000	14000		13700
Total Supply (1000 MT)	18928	18999	18385	18141		17601
MY Exports (1000 MT)	333	333	300	240		250
Crush (1000 MT)	15400	15624	15000	15300		15000
Food Use Dom. Cons. (1000 MT)	220	205	220	200		200
Feed Waste Dom. Cons. (1000 MT)	1375	1541	1300	1500		1450
Total Dom. Cons. (1000 MT)	16995	17370	16520	17000		16650
Ending Stocks (1000 MT)	1600	1296	1565	901		701
Total Distribution (1000 MT)	18928	18999	18385	18141		17601
Yield (MT/HA)	2.5998	2.6819	2.6028	2.6814		2.7523
(1000 HA) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: FAS EU

MY 2026/27

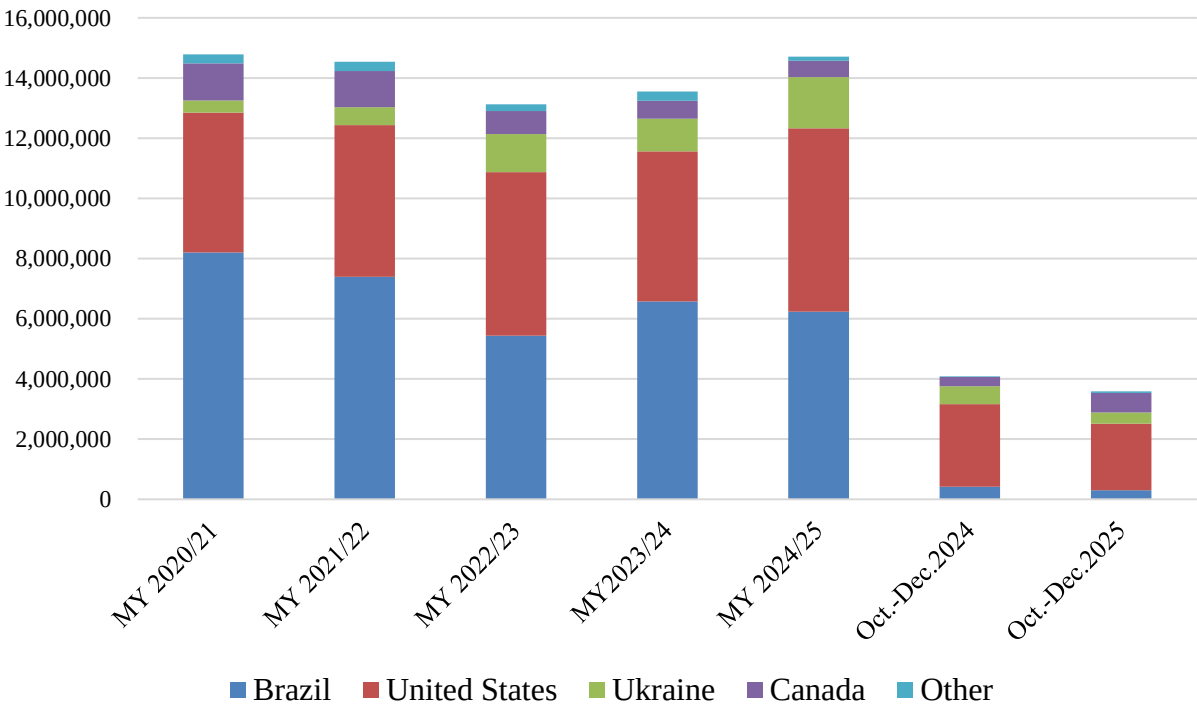
Post forecasts MY 2026/27 soybean production will rise over 5 percent year-on-year due to expanded area harvested and a recovery in yields. MY 2026/27 harvested area is projected to increase by approximately 3 percent year-on-year, largely due to expanded area in France and Romania. Producers are anticipated to shift acreage from grains, such as wheat, or sugar beets to soybean production. Despite high wheat yields in MY 2025/26, growers experienced negative profit margins due to intense market competition, downward pressure on prices, and higher prices for fertilizers due to the Carbon Border Adjustment Mechanism (CBAM) that went into effect in January 2026 (see the Policy section for more information). Post anticipates total soybean acreage will remain below MY 2024/25 levels. Yields are anticipated to recover from low MY 2025/26 levels due to normal growing conditions. Spring 2026 started under generally favorable, dry conditions. However, there is a chance that deep snow in Eastern Europe may melt rapidly and trigger runoff or temporary flooding during early fieldwork. In February

and March 2026, record warm weather and repeated storms in the western Mediterranean left much of Western and Southwestern Europe with saturated soil. As a result, an early spring rain could cause field inundation.

Top soybean-producing EU MS include Italy, France, Romania, Croatia, and Hungary. Soybean production remains an attractive option due to profitable margins for producers (despite anticipated extra compliance costs related to the EUDR), reduced input requirements relative to alternative crops (owing to soybeans’ nitrogen-fixing properties and lower dependence on synthetic fertilizers compared to other oilseeds and grains), and robust domestic demand for GE-free soybeans for both feed and food applications. Additionally, soybeans are frequently selected for cultivation under the EU’s nitrogen-fixing crops subsidy scheme, which provides financial incentives to expand area planted.

Soybean imports in MY 2026/27 are projected to decline slightly, as crush demand is expected to decrease due to stronger availability and profitability of alternative oilseeds, such as rapeseed and sunflower seed. Beginning in 2027, EUDR compliance is likely to impose compliance costs for soy products, lowering soy’s competitiveness and crushing margins versus other oilseeds (see Policy section). The EU remains the world’s second largest buyer of soybeans, sourcing mainly from Brazil, the United States, Ukraine, and Canada. The Netherlands, Spain, Germany, and Italy continue to serve as primary import hubs at the EU level.

Figure 6: EU Soybean Imports (in MT)



Source: TDM

Crush volumes in MY 2026/27 are expected to decrease marginally as crushing margins fall relative to other oilseeds. Post anticipates that these downward factors will be partially offset by soybeans' key role as a protein source in the EU's expanding poultry sector and as a source of lysine. Among major EU crushers, the Netherlands, Italy, and France anticipate marginal increases in crush activity. Slight declines are expected in Portugal and Greece. Other markets – including Spain and Germany - are expected to remain stable.

MY 2025/26

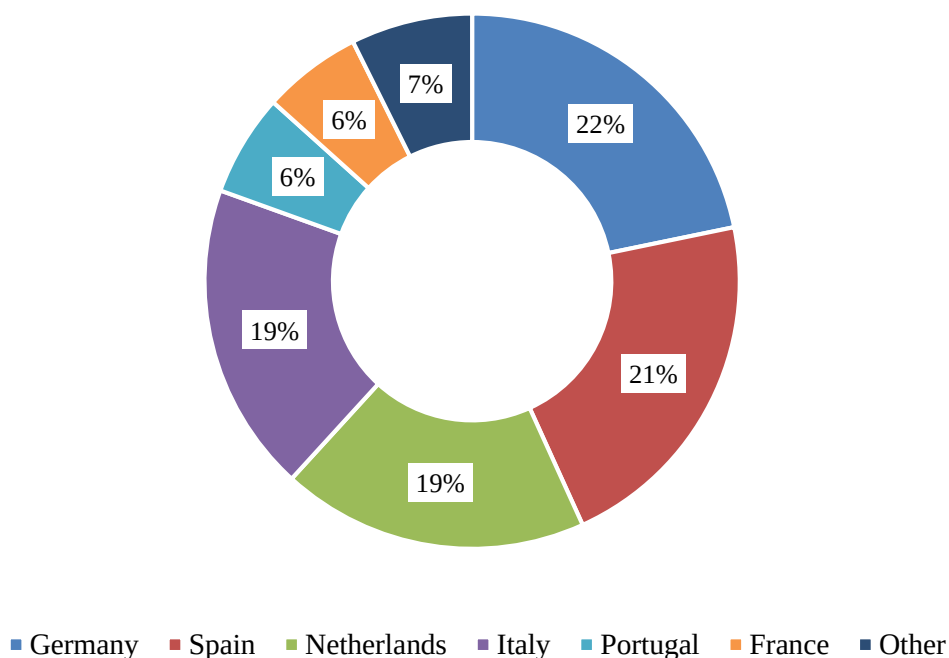
Post estimates MY 2025/26 production declined 5 percent from MY 2024/25 due to area harvested decreases in Hungary, Croatia, and Romania. Yields are estimated to remain stable year-on-year.

MY 2025/26 imports are estimated to decline by 5 percent, as increased production and availability of alternative oilseeds (particularly rapeseed) meet a larger share of local demand. Despite ample and competitively-priced foreign supplies, overall soybean demand is constrained by a gradual slowdown in demand from the livestock and biodiesel industries, particularly in the Netherlands and France.

This downward trend in soybean imports persisted into early 2026, with EU Customs data showing imports as of the first week of March down 15 percent year-on-year. The principal EU importers in the first five months of the year were Spain, the Netherlands, Germany, and Italy. The United States maintained its position as the leading supplier, holding a 62 percent market share, followed by Canada (14 percent), Brazil (11 percent), and Ukraine (11 percent).

Soybean crush volumes are expected to experience a slight decline, primarily due to increased availability of rapeseed and cereals. Industry sources indicate that declining crush in the Netherlands, Italy, and France led to a 7 percent crush decline in the first four months of the marketing year compared to the same period last year.

Figure 7: EU Soybean Crushers MY 2024/25



Source: FAS EU

Soybean Meal

Table 5: Meal, Soybean – Production, Supply and Distribution

Meal, Soybean Market Year Begins European Union	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	15400	15624	15000	15300		15000
Extr. Rate, 999.9999 (PERCENT)	0.79	0.7808	0.79	0.7843		0.7833
Beginning Stocks (1000 MT)	877	877	1758	1049		1007
Production (1000 MT)	12166	12200	11850	12000		11750
MY Imports (1000 MT)	20609	20609	19450	19500		19500
Total Supply (1000 MT)	33652	33686	33058	32549		32257
MY Exports (1000 MT)	652	652	600	500		500
Industrial Dom. Cons. (1000 MT)	10	10	10	10		10
Food Use Dom. Cons. (1000 MT)	32	32	32	32		32
Feed Waste Dom. Cons. (1000 MT)	31200	31943	30900	31000		30650
Total Dom. Cons. (1000 MT)	31242	31985	30942	31042		30692
Ending Stocks (1000 MT)	1758	1049	1516	1007		1065
Total Distribution (1000 MT)	33652	33686	33058	32549		32257
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

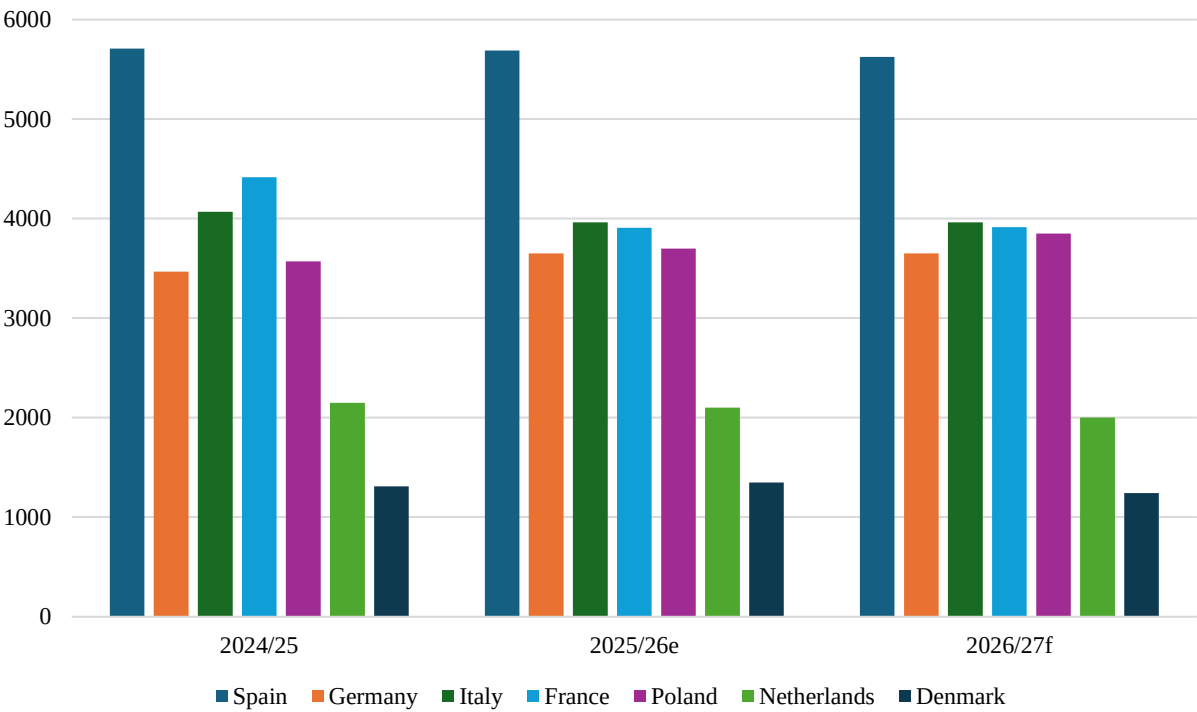
Source: FAS EU

MY 2026/27

Posts forecast a 2 percent decrease in MY 2026/27 production year-on-year following reduced crush levels due to lower crushing margins compared to alternative crops. Feed use is anticipated to decrease slightly, reflecting compliance costs associated with EUDR. These decreases will be partially offset by soybean’s unique role in the EU feed sector. Soybean meal remains a very popular component in feed for poultry and swine, and is a key source for the essential amino acid lysine. Alternative feed crops such as rapeseed cannot substitute for this amino acid and lysine additives have become more difficult to acquire following the imposition of EU anti-dumping duties on Chinese lysine in July 2025.

EUDR implementation has been postponed until the end of 2026. According to local sources, companies have used this time to prepare for EUDR requirements. However, compliance will still incur costs, negatively affecting profitability and crushing margins.

Figure 8: Main EU Soybean Meal Consumers (in thousand MT)



e = estimate, f = forecast
Source: FAS EU

MY 2025/26

MY 2025/26 production is expected to decrease by 2 percent year-on-year due to higher availability and better crushing markets for rapeseed, following a robust rapeseed harvest and higher supplies of grain, especially wheat. Imports are expected to decrease slightly year-on-year as rapeseed and grains satisfy a

larger share of EU feed demand. The EU receives most of its soybean meal imports from Brazil, followed by Argentina.

Some MS report higher demand for soybean meal year-on-year, for example Poland, due to increased poultry production. On the other hand, different animal diseases outbreaks across the EU have had negative effects on overall demand.

Soybean Oil

Table 6: Oil, Soybean – Production, Supply and Distribution

Oil, Soybean Market Year Begins	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
European Union	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	15400	15624	15000	15300		15000
Extr. Rate, 999.9999 (PERCENT)	0.19	0.1856	0.19	0.1863		0.1867
Beginning Stocks (1000 MT)	655	655	632	675		620
Production (1000 MT)	2926	2900	2850	2850		2800
MY Imports (1000 MT)	757	757	650	600		600
Total Supply (1000 MT)	4338	4312	4132	4125		4020
MY Exports (1000 MT)	701	709	850	750		1000
Industrial Dom. Cons. (1000 MT)	1400	1373	1250	1200		1000
Food Use Dom. Cons. (1000 MT)	1550	1500	1450	1500		1400
Feed Waste Dom. Cons. (1000 MT)	55	55	55	55		55
Total Dom. Cons. (1000 MT)	3005	2928	2755	2755		2455
Ending Stocks (1000 MT)	632	675	527	620		565
Total Distribution (1000 MT)	4338	4312	4132	4125		4020
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: FAS EU

MY 2026/27

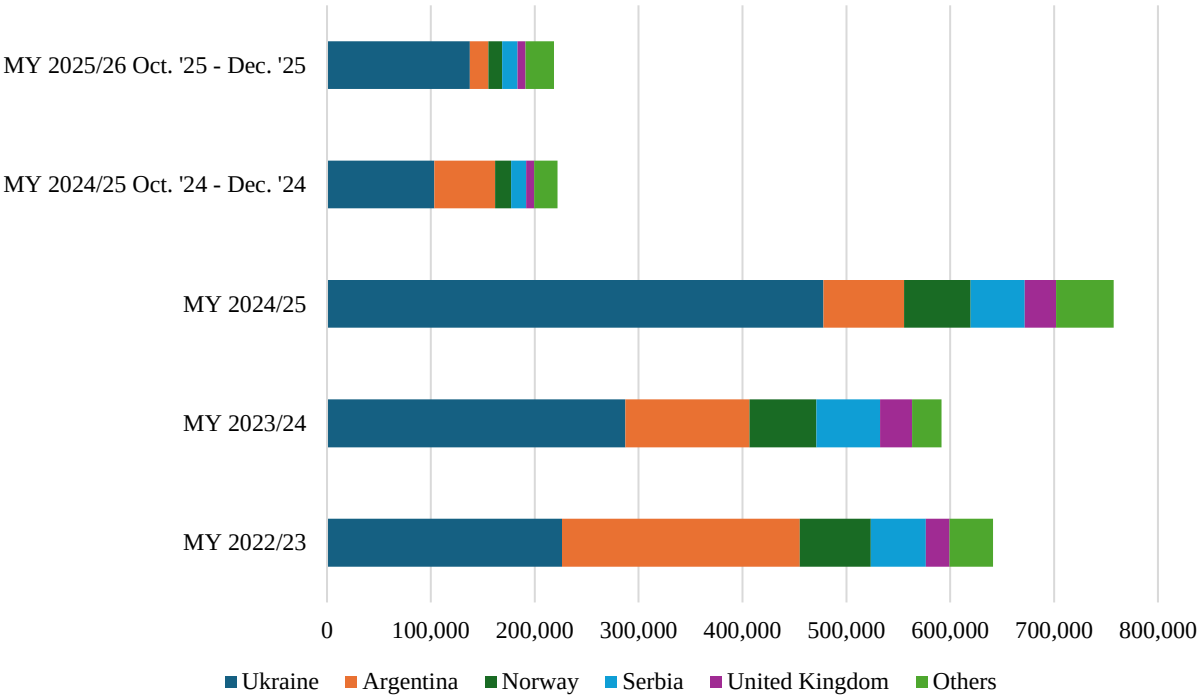
MY 2026/27 production is forecast to decrease approximately 2 percent due to lower crush levels. Imports are expected to remain low but unchanged year-on-year due to lower demand caused by changes to U.S. biofuel policy in 2025. Before these changes, soybean oil was attractive as a feedstock for EU soybean methyl ester (SME), which was then exported to the United States. Under the Inflation Reduction Act, the United States switched from a blending to a production credit using local feedstock. According to local sources, this change lowered EU imports of U.S. soy oil which was then reexported back to the United States as SME following EU processing.

Post anticipates MY 2026/27 industrial use will decline nearly 17 percent as EU producers switch from soy oil to other alternative feedstocks such as rapeseed oil and waste and residues, particularly in the biofuel sector. Waste and residue-based feedstocks are increasingly used by EU biofuel manufacturers as many EU MS double-count these feedstocks towards their RED II biofuel mandate targets. Higher

EUDR compliance costs for soy oil and increased rapeseed oil availability may also make rapeseed a more attractive option for EU industrial producers. Additionally, many MS, including France and Denmark, have excluded or introduced restrictions on soy oil for biofuel production, incentivizing EU producers to switch to alternatives.

In January 2026, the EU Commission circulated a [draft delegated act](#) that classifies soybean-based biofuels as high ILUC risk biofuels and would result in phasing out soybean oil as feedstock in the EU by 2030. If this delegated act were to pass, it would further decrease soy oil industrial use, likely beyond MY 2026/27. Please see our [Biofuel Mandated in the EU by Member State Report](#) for more information on biofuel mandates.

Figure 9: EU Soybean Oil Main Suppliers (in MT)



Source: TDM

MY 2026/27 food use is expected to decline slightly due to higher availability of sunflower oil and increasing consumer preference for sunflower oil over soy due to perceived health benefits. Post forecasts a 33 percent increase in exports year-on-year as decreases in demand exceed lower crush and production declines.

MY 2025/26

Post estimates MY 2025/26 production down slightly year-on-year to 2,850 MT reflecting lower crushing levels. Imports are forecast to decrease 20 percent as implementation of the U.S. Inflation

Reduction Act removes incentives for imports for EU reprocessing into SME exports. Ukraine remains the main supplier of soybean oil to the EU.

MY 2025/26 industrial use is expected to decline as EU processors increasingly turn to alternative feedstocks for biofuel and other uses. Exports are expected to increase as crushers redirect oil to foreign markets due to declining EU demand.

3. Rapeseed Complex

Rapeseed, Seed

Table 7: Oilseed, Rapeseed – Production, Supply and Distribution

Oilseed, Rapeseed Market Year Begins	2024/2025		2025/2026		2026/2027	
	Jul 2024		Jul 2025		Jul 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
European Union						
Area Planted (1000 HA)	6500	0	6500	0		0
Area Harvested (1000 HA)	5714	5727	6086	6140		6300
Beginning Stocks (1000 MT)	1938	1938	2247	2093		2093
Production (1000 MT)	16827	17073	20245	20500		20400
MY Imports (1000 MT)	7964	7964	5500	5800		5800
Total Supply (1000 MT)	26729	26975	27992	28393		28293
MY Exports (1000 MT)	382	382	650	700		550
Crush (1000 MT)	23450	23950	24500	25000		25050
Food Use Dom. Cons. (1000 MT)	0	0	0	0		0
Feed Waste Dom. Cons. (1000 MT)	650	550	650	600		600
Total Dom. Cons. (1000 MT)	24100	24500	25150	25600		25650
Ending Stocks (1000 MT)	2247	2093	2192	2093		2093
Total Distribution (1000 MT)	26729	26975	27992	28393		28293
Yield (MT/HA)	2.9449	2.9811	3.3265	3.3388		3.2381
(1000 HA) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: FAS EU

Market and policy developments continue to shape the EU rapeseed sector. Demand for vegetable oils used as biofuel feedstocks remains an important driver of the EU rapeseed market, particularly in the biodiesel sector where rapeseed oil continues to play a key role. At the same time, the EU maintains a gap between domestic rapeseed production and crushing capacity, resulting in sustained demand for imports to supply EU processors.

MY 2026/27

Total EU rapeseed harvested area in MY 2026/27 is forecast to increase 2.7 percent year-on-year due to relatively favorable rapeseed prices encouraging planting in several MS. MY 2026/27 total production is expected to remain largely stable, declining less than 1 percent compared to MY 2025/26, as slightly lower, more average yields offset gains from higher area harvested. Rapeseed remains an important crop in EU arable rotations and continues to be widely planted despite rising production costs, pest pressures, and evolving policy and market conditions.

Rapeseed production in the EU is geographically concentrated in several key MS. France, Germany, Poland, and Romania are among the largest producers and together account for roughly three-quarters of total EU rapeseed output.

In France, for MY 2026/27, harvested area is expected to recover modestly to around 1.3 million hectares, while yields are projected at about 3.5 MT/HA. As a result, production is forecast to increase slightly to about 4.55 million metric tons. Rapeseed remains an important crop in French rotations and is closely linked to biodiesel demand, with more than half of domestic rapeseed oil used for biofuel production.

In Germany, the second-largest EU producer, MY 2026/27 rapeseed area is expected to expand, as relatively high rapeseed prices encourage farmers to expand rapeseed area. This is expected to come at the expense of sugar beet and potato area. Crop development has so far been favorable, although final production prospects will depend on spring weather conditions.

Poland remains a major EU producer, with production exceeding 3.6 million metric tons in MY 2025/26 following an increase in harvested area. However, weather conditions during harvest affected seed quality in some regions. For MY 2026/27, production is expected to decline slightly as winter conditions and localized weather challenges reduced planted area in some regions. In parts of the Baltic region and Poland, periods of low temperatures combined with limited snow cover created localized winterkill risks during the winter.

In Romania, rapeseed area continues to expand as farmers shift toward winter crops, with plantings estimated at around 1.05 million hectares for the MY 2026/27 harvest. Assuming average yields, production could increase further and potentially reach a new record level. Romania also remains an important exporter of rapeseed within the EU.

Production developments in several medium-sized producing MS vary depending on local agronomic and market conditions. In the Czech Republic, rapeseed remains an important crop in arable rotations, although harvested area has gradually declined in recent years, with winter rapeseed area for the 2026 harvest estimated down roughly 7 percent year-on-year. While overwintering conditions were generally favorable, rapeseed production in the Czech Republic, as well as in Hungary and Austria, has been

increasingly affected by rising production risks, including pest pressure, restrictions on plant protection products, and higher input costs. These factors have reduced the profitability of rapeseed cultivation and limited further expansion of planted area. By contrast, Ireland expects a modest increase in rapeseed plantings in MY 2026/27 following favorable planting conditions and strong forward prices, although rapeseed remains a minor crop in the country's agricultural sector.

EU rapeseed crush in MY 2026/27 is forecast to remain largely stable, increasing marginally by about 0.2 percent compared to MY 2025/26. Processing activity continues to be supported by steady demand from the EU biodiesel sector as well as from food and industrial uses of vegetable oils. Policy developments under the EU RED II, including the gradual phase-out of palm oil as a high-risk ILUC feedstock, continue to support demand for domestically produced oilseed feedstocks such as rapeseed.

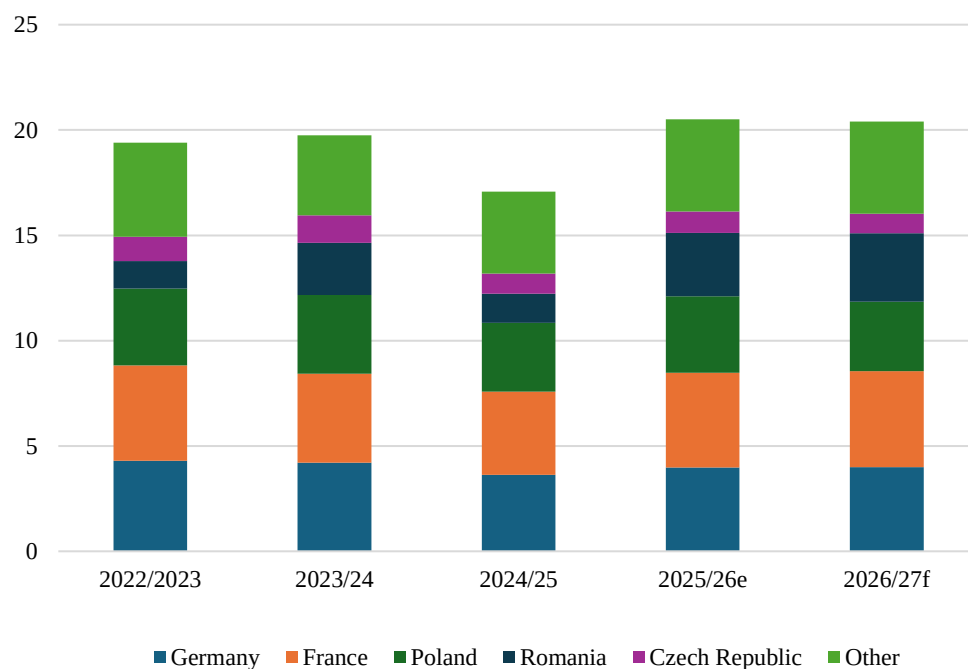
EU rapeseed imports in MY 2026/27 are forecast to remain unchanged compared to MY 2025/26, as EU crushers continue to rely on imported rapeseed to supplement domestic supply and maintain stable processing volumes. The EU rapeseed market remains structurally import-dependent as crushing demand consistently exceeds domestic production. Import demand is largely driven by major processing countries such as Germany, the Netherlands, Belgium-Luxembourg, and France.

EU rapeseed exports remain relatively limited compared to imports and are primarily directed to neighboring markets. In MY 2026/27, exports are forecast to decline by about 21 percent compared to MY 2025/26, falling from high MY 2025/26 levels due to slightly lower production and increased crush demand. EU rapeseed ending stocks are expected to remain relatively stable in MY 2026/27, broadly unchanged from the previous marketing year.

MY 2025/26

EU rapeseed harvested area in MY 2025/26 increased by about 7 percent compared to MY 2024/25 as farmers expanded plantings following the previous year's weaker production and relatively favorable market conditions for oilseeds. EU rapeseed production in MY 2025/26 rose by about 20 percent year-on-year, driven primarily by improved yields following unfavorable weather conditions in the previous season. The increase in production reflects both an expansion in harvested area and a recovery in yields (up 12 percent) across several major producing MS.

Figure 10: EU Rapeseed Production (Million MT)



Source: FAS EU

EU rapeseed crush increased by 4.4 percent year-on-year in MY 2025/26, reflecting improved rapeseed availability following a recovery in EU production. Higher domestic supply allowed crushers to operate at higher utilization rates compared to the previous marketing year. Crushing activity remains concentrated in a few key MS, particularly Germany, France, and Poland, which together account for roughly two-thirds of EU rapeseed crush.

Despite an increase in EU production, domestic rapeseed supply remains insufficient to fully utilize EU crushing capacity. As a result, EU crushers continue to rely on imported rapeseed, primarily from Ukraine, Canada, and Australia, to maintain processing volumes.

Demand from the biodiesel sector remained an important factor supporting rapeseed processing during MY 2025/26. In addition, tighter availability of competing vegetable oils supported rapeseed oil demand and helped sustain processing margins.

Based on July–December trade data and current supply expectations, EU rapeseed imports in MY 2025/26 are estimated to decline by about 27 percent year-on-year compared to MY 2024/25, reflecting a strong recovery in EU production. Higher domestic availability reduced the need for imported rapeseed during the marketing year, particularly in major producing countries such as France and Germany.

During MY 2024/25, Australia was the largest supplier of rapeseed to the EU, accounting for roughly 46 percent of total imports, followed by Ukraine with about 34 percent and Canada with approximately 14 percent. Trade data for the early months of MY 2025/26 indicate some adjustments in supplier composition. Ukraine accounted for a large share of imports during the first part of the marketing year, reflecting shipments following the summer harvest.

Ukraine's export flows were partly affected by the introduction of a 10 percent export duty on rapeseed in 2025 aimed at supporting domestic processing. At the same time, Canada significantly expanded its presence in the EU market, reflecting strong export availability and continued demand from EU crushers. Imports from Australia typically increase later in the marketing year following the Southern Hemisphere harvest. These developments highlight an increasing diversification of EU rapeseed suppliers, as crushers adjust sourcing in response to policy changes and shifts in global export availability.

In MY 2025/26, exports are estimated to increase by about 83 percent year-on-year, reflecting improved rapeseed availability following higher production. The United Kingdom remains the primary destination for EU rapeseed exports, while shipments to Pakistan increased notably during the first half of the marketing year. Export activity was particularly strong in the first half of the marketing year, especially to the United Kingdom. Romania and France are among the main EU exporters due to their relatively strong production base.

Rapeseed, Meal

Table 8: Meal, Rapeseed – Production, Supply and Distribution

Meal, Rapeseed Market Year Begins	2024/2025		2025/2026		2026/2027	
	Jul 2024		Jul 2025		Jul 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
European Union						
Crush (1000 MT)	23450	23950	24500	25000		25050
Extr. Rate, 999.9999 (PERCENT)	0.57	0.5699	0.57	0.57		0.5697
Beginning Stocks (1000 MT)	393	393	399	533		783
Production (1000 MT)	13367	13650	13965	14250		14270
MY Imports (1000 MT)	420	420	800	750		400
Total Supply (1000 MT)	14180	14463	15164	15533		15453
MY Exports (1000 MT)	881	880	800	900		850
Industrial Dom. Cons. (1000 MT)	0	0	0	0		0
Food Use Dom. Cons. (1000 MT)	0	0	0	0		0
Feed Waste Dom. Cons. (1000 MT)	12900	13050	13900	13850		13850
Total Dom. Cons. (1000 MT)	12900	13050	13900	13850		13850
Ending Stocks (1000 MT)	399	533	464	783		753
Total Distribution (1000 MT)	14180	14463	15164	15533		15453
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: FAS EU

The EU rapeseed meal market remains structurally stable, with most year-to-year changes driven primarily by fluctuations in rapeseed crushing volumes and trade flows rather than major shifts in feed demand. Germany remains the largest rapeseed meal producer and consumer in the EU, while France and Poland are also key for both production and feed use. Romania and Bulgaria play an important role on the export side due to growing crushing capacity.

MY 2026/27

EU rapeseed meal production in MY 2026/27 is forecast to increase only marginally compared to MY 2025/26, in line with largely stable rapeseed crushing volumes. Production remains concentrated in several major processing countries, particularly Germany, France, Poland, and Romania, with additional relevant volumes produced in Czechia, Belgium and Luxembourg (Belux), and Denmark.

At the EU level, crushing activity remains mostly unchanged in Germany and Poland with a small increase in France. Slightly lower output in some smaller producers, including Bulgaria (where sunflower availability is forecast to recover), partly offsets increases elsewhere.

EU rapeseed meal consumption in MY 2026/27 is forecast to remain largely unchanged compared to MY 2025/26. Feed demand is expected to stay broadly stable, with rapeseed meal continuing to play an important role as a plant-based protein ingredient in cattle and pig feed rations, while soybean meal remains the dominant protein source, particularly in poultry feed.

Rapeseed meal can partially substitute for soybean meal in compound feed, although differences in protein content and amino-acid composition limit full substitution. Feed use remains concentrated in Germany, France, Poland, Denmark, the Netherlands, and Spain with additional important demand in Czechia and Ireland.

Stable EU consumption reflects improvements in animal productivity that continues to support protein meal demand even where herd sizes are declining.

EU rapeseed meal imports in MY 2026/27 are forecast to decline by about 47 percent compared to MY 2025/26. Lower imports reflect stable domestic production and steady feed demand, which reduce the need for additional external supplies. Imports are expected to remain relatively limited and concentrated in a few MS, particularly Spain, France, Ireland, Germany, Hungary, and Italy, where domestic production does not always fully cover local feed demand.

Canada is expected to remain an important external supplier following a sharp increase in shipments observed in MY 2025/26, although overall EU import demand is expected to moderate. Smaller volumes may continue to originate from regional suppliers such as Ukraine, Moldova, and Kazakhstan, depending on regional crushing activity and export availability.

EU rapeseed meal exports in MY 2026/27 are forecast to decline by about 6 percent compared to MY 2025/26. EU exports remain modest relative to production and are primarily directed to nearby non-EU markets. The largest export destinations are expected to remain the United Kingdom, Norway, Switzerland, and Israel, which together account for the majority of EU rapeseed meal exports.

Norway represents a particularly stable market for EU rapeseed meal, as the product is used in compound feed for the country's large aquaculture sector. Smaller shipments are also directed to Turkey, Morocco, Iceland, and several Balkan markets. On the EU supply side, exports are concentrated in Germany, France, Belux, Bulgaria, Romania, Latvia, and Finland.

EU rapeseed meal ending stocks in MY 2026/27 are forecast to decline by 3.8 percent compared to MY 2025/26 as some of the stock accumulation recorded in MY 2025/26 is drawn down as import levels normalize and domestic use remaining stable. Inventories continue to be concentrated in a limited number of MS, particularly Germany and Lithuania, with additional smaller stocks in France, Romania, Czechia, the Netherlands, and Belux.

MY 2025/26

In MY 2025/26, EU rapeseed meal production increased by 4.4 percent year-on-year, reflecting higher rapeseed crushing volumes following a recovery in EU rapeseed production.

The increase was supported mainly by higher output in France, the Netherlands, Romania, Poland, and Bulgaria, while production remained broadly stable in Germany, the EU's largest rapeseed meal producer. Smaller increases were also reported in countries such as Czechia, Greece, Estonia and Lithuania, although the majority of the production growth occurred in the EU's largest crushing markets.

EU domestic consumption of rapeseed meal increased by about 6 percent year-on-year in MY 2025/26, encouraged by higher rapeseed meal availability following stronger EU rapeseed crushing. Feed demand remained generally firm across the EU. In some markets, rapeseed meal also benefited from tighter sunflower meal availability. In certain markets, lower availability of palm kernel meal also supported rapeseed meal use.

Higher feed use was reported in several MS, most notably the Netherlands, Romania, France, Italy, Sweden, and Lithuania, with additional increases in countries such as Czechia and Latvia. These developments partly reflect competitive pricing relative to other protein meals and higher availability following stronger rapeseed crush. At the same time, feed demand softened in some markets, including Poland and to a lesser extent in Finland, and Denmark. Differences in national feed formulations and livestock sector developments contributed to these mixed country-level trends.

EU rapeseed meal imports increased sharply by about 78 percent in MY 2025/26 compared to MY 2024/25, reflecting stronger demand in several MS (Ireland, Spain, and France, followed by Germany and Hungary) and temporary international supply adjustments. Trade data indicate a significant shift in supplier structure during the marketing year. Canada, facing downward price pressure resulting from a newly imposed 100 percent Chinese tariff, emerged as the dominant external supplier, accounting for the majority of EU rapeseed meal imports. This increase reflects strong Canadian canola production and high crushing volumes, which generated ample export availability.

Canadian canola meal differs somewhat in protein and fiber composition compared with EU rapeseed meal, which can influence feed formulations and occasionally result in higher inclusion volumes when used in compound feed.

In MY 2025/26, EU rapeseed meal exports are estimated to increase by over 2 percent year-on-year, supported by slightly higher meal availability following stronger EU rapeseed crushing. The United Kingdom and Norway remained the largest export destinations, followed by Israel and Switzerland.

Exports to the United Kingdom increased substantially, while shipments to Israel declined compared to the previous year. On the EU side, the main exporters remained Germany and France, followed by

Belux, Bulgaria, Romania, Latvia, and Finland. Higher crush in countries such as Romania and Bulgaria supported stronger availability of processed rapeseed products, including rapeseed meal.

In MY 2025/26, ending stocks increased sharply by about 46.9 percent year-on-year, reflecting higher production.

Rapeseed, Oil

Table 9: Oil, Rapeseed – Production, Supply and Distribution

Oil, Rapeseed Market Year Begins	2024/2025		2025/2026		2026/2027	
	Jul 2024		Jul 2025		Jul 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
European Union						
Crush (1000 MT)	23450	23950	24500	25000		25050
Extr. Rate, 999.9999 (PERCENT)	0.42	0.42	0.42	0.42		0.42
Beginning Stocks (1000 MT)	305	305	264	290		385
Production (1000 MT)	9849	10060	10290	10500		10520
MY Imports (1000 MT)	295	295	450	500		400
Total Supply (1000 MT)	10449	10660	11004	11290		11305
MY Exports (1000 MT)	585	585	650	600		700
Industrial Dom. Cons. (1000 MT)	6750	6840	6900	7250		7350
Food Use Dom. Cons. (1000 MT)	2800	2900	3125	3000		2950
Feed Waste Dom. Cons. (1000 MT)	50	45	50	55		50
Total Dom. Cons. (1000 MT)	9600	9785	10075	10305		10350
Ending Stocks (1000 MT)	264	290	279	385		255
Total Distribution (1000 MT)	10449	10660	11004	11290		11305
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: FAS EU

MY 2026/27

EU rapeseed oil production in MY 2026/27 is forecast to remain broadly stable compared to MY 2025/26, reflecting only a marginal increase in rapeseed crushing volumes. Crushing activity is expected to remain supported by steady biodiesel demand and relatively stable rapeseed availability across the EU.

Germany continues to be the largest rapeseed oil producer in the EU due to its extensive crushing industry and strong biodiesel sector. France and Poland also remain major producers, while significant processing capacity is located in the Netherlands and Belgium, where large port-based crushers supply both domestic markets and export destinations.

Policy developments affecting the broader vegetable oil complex also support the role of rapeseed oil in EU processing. Restrictions on palm oil use in biofuels and ongoing EU discussion regarding sustainability requirements affecting other vegetable oils continue to influence the feedstock mix used in biodiesel production, reinforcing the importance of rapeseed oil in the EU market.

EU rapeseed oil consumption in MY 2026/27 is forecast to increase slightly compared to MY 2025/26, driven primarily by higher industrial demand. Industrial use, which is dominated by biodiesel production, remains the largest outlet for rapeseed oil in the EU.

Demand from the biofuel sector continues to support rapeseed oil use in several major MS, particularly Germany, France, and Poland. Rapeseed oil remains one of the key feedstocks used in EU biodiesel production due to its availability within the region and favorable greenhouse gas reduction profile.

Policy developments may further influence demand in the coming marketing year. In Germany, a proposed revision of national biofuel legislation could become an additional supportive factor if adopted, as the proposed end of double counting for advanced biofuels would likely increase the need for higher physical volumes of first generation biofuels, including rapeseed methyl ester.

Food use of rapeseed oil is expected to decline slightly in MY 2026/27 following an increase recorded in the previous marketing year due to higher availability of alternatives such as sunflower oil. Rapeseed oil remains widely used in household consumption and food processing due to its favorable nutritional characteristics.

Market developments affecting competing oils may also support rapeseed oil demand. Sustainability restrictions on palm oil in biofuel applications, regulatory developments affecting soybean oil supply chains, and relatively firm sunflower oil prices in some periods have increased the relative importance of rapeseed oil within the EU vegetable oil market.

EU rapeseed oil imports in MY 2026/27 are forecast to decline by about 20 percent compared to MY 2025/26 following the temporary increase recorded in the previous marketing year. As domestic production remains stable and industrial demand continues to be largely supplied by EU processors, import demand is expected to ease. Ukraine remains the dominant supplier of rapeseed oil to the EU, accounting for the majority of import volumes, while smaller quantities are imported from suppliers such as Canada, the United Kingdom, and several regional exporters.

EU rapeseed oil exports are forecast to increase by about 17 percent in MY 2026/27 compared to the previous marketing year. Export flows should continue to be supported by established trade links with neighboring non-EU markets. Norway is expected to remain the leading and most stable destination,

while the United Kingdom should remain an important outlet for EU rapeseed oil exports, reflecting steady demand for vegetable oils in industrial and food applications.

EU rapeseed oil ending stocks in MY 2026/27 are forecast to decline by about 34 percent compared to MY 2025/26 as consumption continues to grow while production remains broadly stable. Stocks remain relatively limited at the EU level and generally reflect short-term adjustments between production, trade flows, and biodiesel demand.

MY 2025/26

Post estimates EU rapeseed oil production increased by 4.4 percent in MY 2025/26 compared to the previous marketing year, reflecting higher rapeseed crushing volumes following improved rapeseed availability in several MS.

The increase in processing activity was particularly visible in major crushing countries such as Germany, France, Romania, and the Netherlands. In some regions, crushers also increased rapeseed processing in response to tighter sunflower seed availability, as processors often adjust crushing patterns between oilseeds (mainly sunflower and rapeseed) depending on relative supply conditions and margins.

EU rapeseed oil consumption increased moderately by 5.3 percent in MY 2025/26 compared to MY 2024/25. The increase was primarily driven by stronger demand linked to biodiesel production across the EU. In MY 2025/26 rapeseed oil prices are also more competitive compared to elevated sunflower oil prices.

Food use increased 3.5 percent during the marketing year, reflecting stable demand from the food processing sector and retail markets in several MS. Rapeseed oil continues to be one of the most commonly consumed vegetable oils in parts of Northern and Central Europe, particularly in Germany, Poland, and the Nordic countries. Rapeseed oil may also substitute for other vegetable oils such as palm oil or soybean oil in food service and food processing depending on relative prices, availability, and sustainability-related sourcing preferences.

EU rapeseed oil imports increased sharply in MY 2025/26, rising by about 70 percent compared to MY 2024/25. The increase reflected stronger demand for biodiesel feedstocks and competitive import prices during parts of the marketing year. Ukraine remained the leading supplier of imported rapeseed oil to the EU, followed by the United Kingdom and Canada.

EU rapeseed oil exports increased slightly in MY 2025/26, by about 3 percent compared to the previous year. Despite only modest growth, exports remained an important outlet for EU rapeseed oil, with Norway and the United Kingdom continuing to represent key export destinations. Exports to China declined sharply during the first half of MY 2025/26, likely reflecting stronger domestic crushing in China supported by increased rapeseed availability.

EU rapeseed oil ending stocks increased significantly in MY 2025/26, rising by about 10 percent compared to MY 2024/25. The increase primarily reflected stronger production and higher imports during the marketing year, which temporarily exceeded the growth in domestic consumption.

4. Sunflower Complex

Sunflower Seed

Table 10: Oilseed, Sunflower seed – Production, Supply and Distribution

Oilseed, Sunflowerseed Market Year Begins	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
European Union	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	4905	4900	5000	4880		4900
Area Harvested (1000 HA)	4842	4777	4593	4640		4880
Beginning Stocks (1000 MT)	563	563	328	359		319
Production (1000 MT)	8436	8647	8575	8660		9900
MY Imports (1000 MT)	582	582	750	850		640
Total Supply (1000 MT)	9581	9792	9653	9869		10859
MY Exports (1000 MT)	823	823	800	760		600
Crush (1000 MT)	7400	7580	7500	7760		8500
Food Use Dom. Cons. (1000 MT)	515	515	515	510		515
Feed Waste Dom. Cons. (1000 MT)	515	515	535	520		520
Total Dom. Cons. (1000 MT)	8430	8610	8550	8790		9535
Ending Stocks (1000 MT)	328	359	303	319		724
Total Distribution (1000 MT)	9581	9792	9653	9869		10859
Yield (MT/HA)	1.7423	1.8101	1.867	1.8664		2.0287
(1000 HA) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: FAS EU

MY 2026/27

Post forecasts MY 2026/27 production will increase 14.3 percent year-on-year mainly due to yield gains from favorable weather and an expansion in area harvested. MY 2026/27 yields are expected to recover due to improved growing conditions compared to MY 2025/26. Currently, major producing countries in central and eastern Europe have sufficient soil moisture reserves and the weather appears more favorable than the year before. Average yields are projected to reach roughly 2.03 MT/HA, a 9 percent increase year-on-year and comparable to the five-year average (2.01 MT/HA).

MY 2026/27 area harvested is forecast to grow 5.2 percent from MY 2025/26, largely due to farmers' preferences for sunflower as a more drought-resilient crop compared to corn as well as sunflower's lower input requirements, especially fertilizer costs, which is an important factor for producers' decisions in light of EU policy developments CBAM and recent energy price hikes. According to local media, as of January 2026, nitrogen-based fertilizer prices were up roughly 25 percent from the 2024 average. Sunflower also delivers agronomic benefits such as improved crop rotations and allows for

extra value for producers who opt to grow high-oleic sunflower, a trend reported both in MY 2025/26 and in MY 2026/27. On the other hand, the projected rise in EU area planted may hit the agronomic limit which could have a negative impact on plant health and yields. Post forecasts sunflower area will increase in France, Romania, Bulgaria, Hungary, and Spain, where persistent rains delayed and even preempted grain plantings, causing a shift to sunflower. These countries saw significant ex-farm sunflower prices rise from the start of the current MY due to a deficit market, prompting many growers to expand sunflower production ([Sunflower seed price](#) - EU Bordeaux on March 4, 2026 was 19 percent higher than on October 1, 2025). Other MS are expected to maintain stable area.

Post anticipates MY 2026/27 crush will increase 9.5 percent year-on-year due to improved domestic production and favorable demand conditions. Crush margins are forecast to continue to be attractive in MY 2026/27 supported by improved demand for sunflower oil on the EU market. The largest crush increases are forecast for Hungary and Romania, followed by France, Spain, Portugal, and Bulgaria. Imports are anticipated to decrease 25 percent year-on-year due to higher production and excess crushing capacity in Ukraine incentivizing domestic crushing over exporting seeds. While lower, the EU market still requires some imports to complement local supply and help rebuild record low ending stocks in MY 2025/26. Imports are likely to continue to originate from Moldova, followed by Serbia and Argentina. Sunflower seed imports may receive an advantage over soy after 2026 as they are not subject to EUDR and will not face compliance costs.

Exports of sunflower seeds are likely to decrease 20 percent year-on-year, mainly due to an expected production recovery in Türkiye which has been the major export destination of EU sunflower seeds in MY 2025/26.

Ending stocks are projected to recover, as the EU recovers from lower supplies in MY 2025/26.

MY 2025/26

Post estimates stable production in MY 2025/26 year-on-year, but below historical levels, due to lower area harvested and below-average yields. While area planted remained unchanged, area harvested declined by 3 percent year-on-year due to losses related to poor growing conditions in major producers, resulting in some farmers declining to harvest their fields following extreme drought and heat. Yields were negatively impacted by these conditions in most countries, pushing yields below historical averages but above the very low levels seen in MY 2024/25. Declines in production were reported in Hungary, Bulgaria, France, and Spain, while increases were reported in Romania, Italy, Slovakia, and Croatia. Spain and France faced both lower area and production despite slight improvement in average yields, while Hungary and Bulgaria expanded their area but suffered the most from sharp yield losses.

In order to compensate for production shortfalls, efforts were made to source sunflower seeds via imports. These efforts were motivated by attractive EU crush margins. However, the Black Sea region

saw lower crops in Ukraine and a significant supply deficit in Türkiye. The latest [EU Customs](#)³ data (as of March 10), indicates imports at 419,440 MT, 5 percent lower than last year (based on the EU MY starting from July 1-June 30). More than 67 percent of imports were sourced from Moldova, followed by 8.5 percent sourced from China. At the same time, Argentina enjoyed an unusually high sunflower crop. Although the country prioritizes crushing domestic production over exporting seeds to the EU, trade sources report expected import shipments of over 500,000 MT of sunflower seeds for crush in Bulgaria and Romania in March and April. Due to this change in the import pattern, Post estimates MY 2025/26 imports will increase year on year.

Post estimates a 2.3 percent year-on-year increase in MY 2025/26 crush, supported by stable production and higher imports. Driven by a regional and local deficit, EU sunflower seed prices have increased considerably in the first half of the MY, prompting some farmers to hold stocks and further restrict the available supply for crush. However, EU sunflower oil prices increased more sharply, aggravated by challenging and more costly imports of sunflower oil from Ukraine. As a result, EU crush margins improved substantially and reached their highest level for the last four marketing years.

While MY 2025/26 crush started weaker with a year-on-year decrease of 13 percent from October 2025 to January 2026 (FedOil/industry data), attractive crushing margins have led to increasing imports and are projected to rise for the rest of the marketing year. EU countries report a net increase in crush, with higher crush reported in Romania, Bulgaria, Italy, and Portugal, stable crush in Hungary, and declines in France, Spain, and the Netherlands. Where technically possible and depending on available supplies, some crushers have switched to crushing rapeseed (for example in France, Bulgaria, and the Netherlands).

Sunflower seed food use continues to be stable. The main driver for this trend is consumer demand for products perceived to offer a healthier lifestyle. Some EU customers are attracted to sunflowers as a GE-free product.

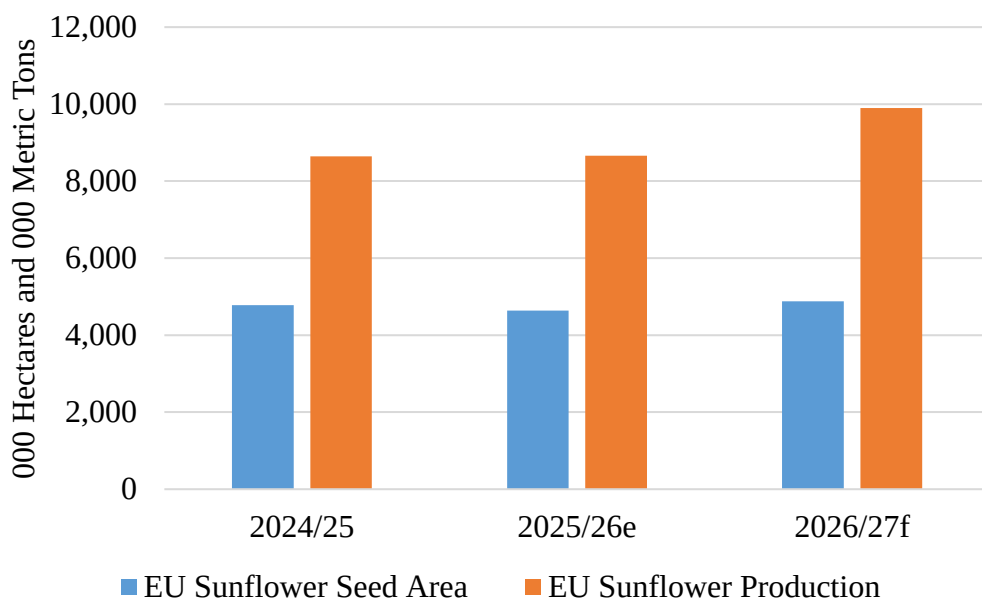
The deficit EU market is forecast to negatively impact exports of sunflower seeds. Higher sunflower seed prices driven by production shortages made exports less price-competitive and not attractive to price-sensitive buyers. In the first quarter of the year when sunflower seed prices were still under harvest pressure and more competitive, EU exports of sunflower seeds increased and were fivefold higher than in the corresponding period of the previous season at 485,453 MT versus 92,662 MT. The main market was Türkiye (89 percent share in total EU exports) which had a poor crop and encouraged imports of sunflower seeds by lower import duties and TRQs. The top EU exporters were Romania and Bulgaria, where exports deepened supply shortfalls and forced crushers to aggressively seek for imports. As of March 10, however, trade flows have declined and exports were 128 percent higher than last year at 757,354 MT.⁴ Exports are expected to decline sharply in the second half of the MY due to shrinking

³ https://agriculture.ec.europa.eu/data-and-analysis/markets/overviews/market-observatories/crops/oilseeds-and-protein-crops_en

⁴ https://taxation-customs.ec.europa.eu/index_en

supplies in the EU, noncompetitive export prices and more favorable crush demand. Stable production and slightly higher imports are projected to result in nearly flat total supply (only 1 percent higher). However, strong demand for crush, along with high exports early in the MY are anticipated to result in record-low ending stocks in MY 2025/26.

Figure 11: EU Sunflower Area and Production (in 1000 hectares and 1000 MT)



e = estimate, f = forecast

Source: FAS EU

Sunflower Meal

Table 11: Meal, Sunflower seed – Production, Supply and Distribution

Meal, Sunflowerseed Market Year Begins European Union	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	7400	7580	7500	7760		8500
Extr. Rate, 999.9999 (PERCENT)	0.5405	0.5303	0.5421	0.5412		0.5412
Beginning Stocks (1000 MT)	425	425	379	369		324
Production (1000 MT)	4000	4020	4066	4200		4600
MY Imports (1000 MT)	2567	2567	2500	2200		2200
Total Supply (1000 MT)	6992	7012	6945	6769		7124
MY Exports (1000 MT)	478	478	500	560		610
Industrial Dom. Cons. (1000 MT)	60	60	60	60		60
Food Use Dom. Cons. (1000 MT)	0	5	0	5		5
Feed Waste Dom. Cons. (1000 MT)	6075	6100	6000	5820		6150
Total Dom. Cons. (1000 MT)	6135	6165	6060	5885		6215
Ending Stocks (1000 MT)	379	369	385	324		299
Total Distribution (1000 MT)	6992	7012	6945	6769		7124
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: FAS EU

MY 2026/27

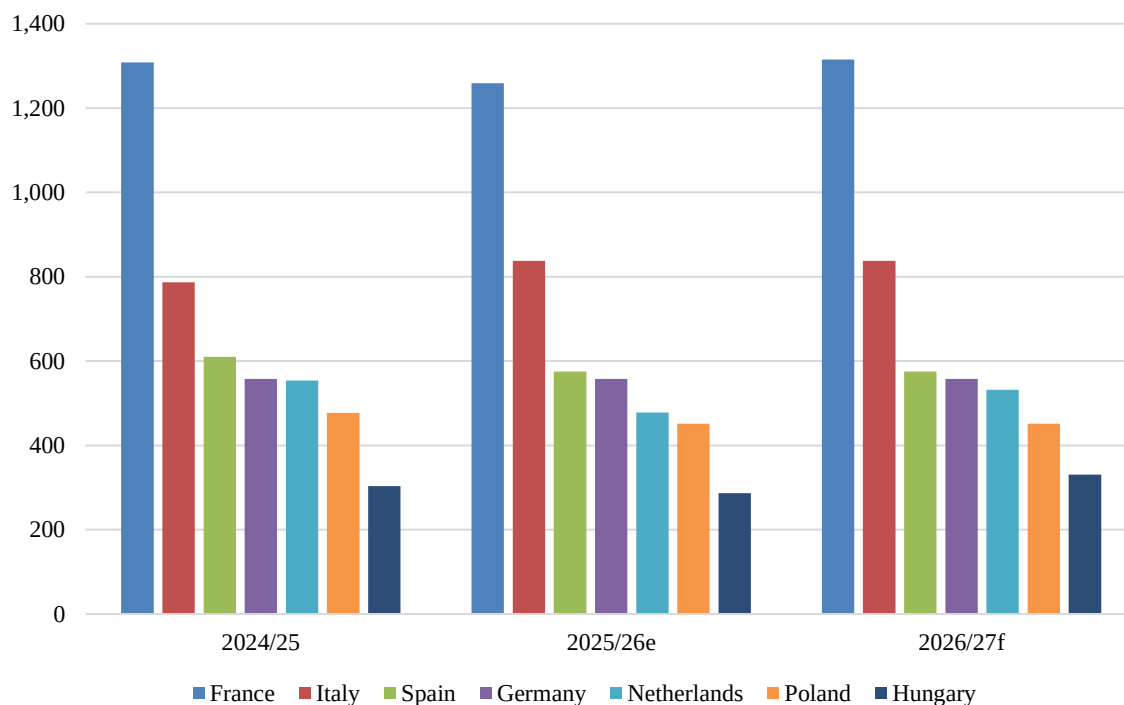
MY 2026/27 meal production is forecast to increase 9.5 percent compared to the current marketing year, reflecting higher crush volumes. Elevated production is projected in Hungary, Romania, France, and Spain, followed by smaller increases in Bulgaria, Portugal, the Netherlands, and stable output in Italy and Germany.

Imports of sunflower meal are forecast to remain steady year-on-year despite higher domestic production due to an anticipated recovery in feed demand. Sunflower meal is expected to improve its price competitiveness versus rapeseed meal and is likely to benefit against soybean meal as it will not face compliance costs from the 2026 implementation of EUDR. Sunflower meal consumption will continue to be supported by demand for non-GE feed.

EU MY 2026/27 consumption is projected to recover, increasing 5.7 percent from MY 2025/26 and slightly above the level seen in MY 2024/25. Higher use and incorporation in feed is expected in France, Hungary, the Netherlands and Portugal while stable use is projected in Spain, Romania, Italy, and Germany, and small reductions in Bulgaria, Greece, and Benelux countries.

Exports are likely to increase slightly due to better domestic production, but are unlikely to grow significantly due to projected continued competition with Black Sea suppliers.

Figure 12: Top EU Sunflower Meal Consumers (in 1000 MT)



e = estimate, f = forecast

Source: FAS EU

MY 2025/26

The EU is estimated to produce 4.5 percent higher meal volumes than last season, due to improved crush. Elevated production is projected to be led by Bulgaria, Romania, Italy, and Portugal, followed by stable output in Hungary, compensating for reductions in France, Spain, and the Netherlands.

MY 2025/26 imports are estimated to decline 14 percent year on year, mostly due to lower demand for sunflower meal in feed ratios as this trend is projected to continue in the second half of the current year. In the first quarter of the year (TDM data), imports have already decreased by 22 percent compared to the corresponding period in MY 2024/25. The latest [EU Customs](#) data (as of March 10) indicate a continued decline in imports to 1.21 MMT, 27 percent less than last year (based on the EU MY running from July 1-June 30). About 54 percent of imports were sourced from Argentina, followed by 34 percent sourced from Ukraine. The top importing MS were the Netherlands, Poland, and Italy.

Post estimates EU sunflower meal consumption will decrease by 4.6 percent compared to MY 2024/25, in line with overall feed use reduction in the EU, and especially due to soybean meal competitiveness. Sunflower meal has become less price-competitive versus soybean meal but has remained competitive with rapeseed meal to date. However, competitiveness with rival meals is not likely to improve later in the marketing year due to abundant global stocks, exportable supplies of soybean meal and higher EU availabilities of rapeseed meal. On the other hand, sunflower meal use was supported in those MS which had a significant loss in their corn production but stable or growing livestock industries (Hungary, Bulgaria, Romania). France, Spain, the Netherlands, and Poland estimate a decrease in use while flat consumption is reported in Germany and higher sunflower meal use seen in Romania, Bulgaria, Italy, Benelux countries, Portugal, and Greece.

Reduced supply early in the current marketing year caused exports to decline. In the first quarter of the year (TDM data), exports decreased by 4.7 percent compared to the corresponding period in MY 2024/25. As of March 10, EU exports were at 234,217 MT or 14 percent lower than a year ago (source: [TAXUD](#)). Leading EU exporters were Romania, Germany, and Bulgaria. The top export destinations were Morocco (32 percent), Norway (17 percent), and the United Kingdom (14 percent). Due to stable demand by these traditional markets and lower domestic use in the EU, however, exports are expected to recover for the rest of the marketing year.

Sunflower Oil

Table 12: Oil, Sunflower seed – Production, Supply, and Distribution

Oil, Sunflowerseed Market Year Begins	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
European Union	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	7400	7580	7500	7760		8500
Extr. Rate, 999.9999 (PERCENT)	0.4226	0.4195	0.4227	0.4227		0.4235
Beginning Stocks (1000 MT)	748	748	432	435		322
Production (1000 MT)	3127	3180	3170	3280		3600
MY Imports (1000 MT)	2411	2411	2475	2300		2350
Total Supply (1000 MT)	6286	6339	6077	6015		6272
MY Exports (1000 MT)	691	691	650	680		640
Industrial Dom. Cons. (1000 MT)	475	600	500	500		550
Food Use Dom. Cons. (1000 MT)	4675	4600	4500	4500		4710
Feed Waste Dom. Cons. (1000 MT)	13	13	13	13		13
Total Dom. Cons. (1000 MT)	5163	5213	5013	5013		5273
Ending Stocks (1000 MT)	432	435	414	322		359
Total Distribution (1000 MT)	6286	6339	6077	6015		6272
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: FAS EU

MY 2026/27

Sunflower oil production is forecast to increase 9.7 percent due to higher crush. All MS expect steady or higher production. The biggest growth is forecast in Hungary and Romania, followed by France, Spain, Portugal, and to a smaller extent in Bulgaria and the Netherlands.

Despite better domestic production, imports of sunflower oil are estimated to grow marginally by about 2 percent due to projected favorable demand for food and industrial use and to rebuild very low ending stocks from MY 2025/26.

Food consumption is projected to increase by 4.7 percent year-on-year. This is due to expected lower prices resulting from higher production, both in direct retail sales, and in the food processing sector, as well as in the hotel, restaurant, and institutional (HRI) industries due to thriving tourism and travel. In Mediterranean EU countries, sunflower oil competes with olive oil in household consumption, while there is a growing preference for sunflower oil in the HRI industry. Sunflower oil continues to be the preferred healthy choice of edible oil in most countries in Central and Eastern Europe. France, Romania, Hungary, and the Netherlands forecast growth in use while the rest of the MS expect steady consumption.

EU sunflower oil exports are forecast downward by about 6 percent year-on-year despite better output due to projected favorable domestic demand as well as regional (Black Sea) and global competition. These exports will likely remain below the levels in the last two marketing years. Ending stocks are estimated to rebound by 11 percent thanks to improved total supply.

MY 2025/26

Sunflower oil output is estimated to grow modestly by 3.1 percent from the previous season, in line with higher crush volumes. Romania, Bulgaria, and Italy report growth in production; followed by small increases in Czechia, Portugal, and Croatia, and decreases in France, Spain, and the Netherlands.

MY 2025/26 food consumption is estimated to decline 2.2 percent year-on-year, largely due to sunflower oil price increases compared to alternative oils, such as rapeseed and soy. Consumer retail sales are anticipated to decrease in part due to competition from lower olive oil prices following a rebound in olive oil production in Mediterranean countries. Sunflower oil also increasingly faces competition for industrial and biodiesel use from other vegetable oils and waste fats such as used cooking oil. Due to its higher prices in the current MY, sunflower oil consumption for these purposes is estimated to be reduced by 17 percent.

Major users such as France, Spain, Hungary, and Germany estimate a decline in use compared to the previous season while stable consumption is reported by Romania, Benelux countries, and the Netherlands. Small growth in use is reported in Italy, Bulgaria, and Portugal.

Post anticipates MY 2025/26 imports will decline 4.6 percent year-on-year due to lower exportable supplies from traditional suppliers such as Ukraine, as well as challenging and more expensive export logistics. Imports in the first quarter of the year were already 6.5 percent lower than in the corresponding period last year (TDM data), imports have shrunk fast and as of March 10 (source: [TAXUD](#)) were at 1.3 MMT, 22 percent lower than last year. Ukraine has been the major supplier of sunflower oil to the EU to date (93 percent). High prices may attract some imports from other providers (for example Argentina). According to EU Customs, leading EU importers to date are Spain, the Netherlands, and Italy although much of these imports are likely transshipped to other EU countries.

Exports of sunflower oil are estimated to decline due to reduced supply and stronger competition from the Black Sea region. In the first quarter of MY 2025/26, exports decreased by 16.5 percent compared to a year ago (TDM data). As of March 10, exports were reported at 29 percent lower than last year (source: [TAXUD](#)) to the United Kingdom (38 percent), the United States (9 percent) and Bosnia and Herzegovina (6 percent). Major EU exporters are reported to be the Netherlands, France, Spain, Bulgaria, Romania, and Hungary.

Ending stocks are projected to decline sharply compared to MY 2024/25 due to lower total supply. The resulting very low stocks-to-use ratio indicates a tight market and corresponds to the higher price levels seen on the market in the current season.

5. Palm Kernel Complex

Palm Kernel Meal

Table 13: Meal, Palm Kernel – Production, Supply, and Distribution

Meal, Palm Kernel	2024/2025		2025/2026		2026/2027	
Market Year Begins	Jan 2025		Jan 2026		Jan 2027	
European Union	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	0	0	0	0		0
Extr. Rate, 999.9999 (PERCENT)	0	0	0	0		0
Beginning Stocks (1000 MT)	37	37	37	16		31
Production (1000 MT)	0	0	0	0		0
MY Imports (1000 MT)	1300	1326	1400	1225		1075
Total Supply (1000 MT)	1337	1363	1437	1241		1106
MY Exports (1000 MT)	50	47	18	40		40
Industrial Dom. Cons. (1000 MT)	450	450	450	450		450
Food Use Dom. Cons. (1000 MT)	0	0	0	0		0
Feed Waste Dom. Cons. (1000 MT)	800	850	929	720		595
Total Dom. Cons. (1000 MT)	1250	1300	1379	1170		1045
Ending Stocks (1000 MT)	37	16	40	31		21
Total Distribution (1000 MT)	1337	1363	1437	1241		1106
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: FAS EU

EU palm kernel meal imports dropped from 1.53 MMT in 2024 to 1.33 MMT in 2025, driven by cooling feed demand within the EU and increasing demand by other importers, mainly Japan and New Zealand. Despite typically being the most affordable of the four major oilseed meals, EU imports of palm kernel meal are projected to decrease further in 2026 and 2027. This decline stems from a shrinking EU cattle herd (for more information see the [EU Livestock Semi-Annual of 2026](#)) and an abundance of soybean and rapeseed meals. Because the Netherlands currently consumes nearly two-thirds of all palm kernel meal imports, the contraction of the Dutch dairy herd is expected to pull consumption figures down.

Table 14: Oil, Palm Kernel – Production, Supply, and Distribution

Oil, Palm Kernel Market Year Begins	2024/2025		2025/2026		2026/2027	
	Jan 2025		Jan 2026		Jan 2027	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
European Union						
Crush (1000 MT)	0	0	0	0		0
Extr. Rate, 999.9999 (PERCENT)	0	0	0	0		0
Beginning Stocks (1000 MT)	105	105	75	89		94
Production (1000 MT)	0	0	0	0		0
MY Imports (1000 MT)	550	546	525	530		490
Total Supply (1000 MT)	655	651	600	619		584
MY Exports (1000 MT)	10	12	10	10		10
Industrial Dom. Cons. (1000 MT)	250	250	255	240		235
Food Use Dom. Cons. (1000 MT)	320	300	260	275		275
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0		0
Total Dom. Cons. (1000 MT)	570	550	515	515		510
Ending Stocks (1000 MT)	75	89	75	94		64
Total Distribution (1000 MT)	655	651	600	619		584
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: FAS EU

In 2025, EU palm kernel oil imports fell to 0.55 MMT from 0.61 MMT the previous year. The lower EU imports are linked to a phasing out of palm products based on concerns related to tropical deforestation and in anticipation of the EUDR. The implementation of the EUDR in December 2026 is expected to impact both palm kernel meal and oil imports in 2027. It remains uncertain what percentage of palm kernel meal and oil imports will meet the new requirements, as both commodities originate from the palm sector and face significant regulatory requirements. An additional complication for complying with the EUDR is that both products are co-products of palm oil production and require further processing. For more information about the EUDR see the Palm Oil and the Policy chapter of this report.

6. Palm Oil

Table 15: Oil, Palm – Production, Supply, and Distribution

Oil, Palm	2024/2025		2025/2026		2026/2027	
Market Year Begins	Jan 2025		Jan 2026		Jan 2027	
European Union	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0		0
Area Harvested (1000 HA)	0	0	0	0		0
Trees (1000 TREES)	0	0	0	0		0
Beginning Stocks (1000 MT)	599	599	421	651		676
Production (1000 MT)	0	0	0	0		0
MY Imports (1000 MT)	3124	3124	3500	2970		2600
Total Supply (1000 MT)	3723	3723	3921	3621		3276
MY Exports (1000 MT)	102	102	120	90		90
Industrial Dom. Cons. (1000 MT)	1300	1120	1350	1065		1010
Food Use Dom. Cons. (1000 MT)	1800	1750	1900	1720		1700
Feed Waste Dom. Cons. (1000 MT)	100	100	100	70		70
Total Dom. Cons. (1000 MT)	3200	2970	3350	2855		2780
Ending Stocks (1000 MT)	421	651	451	676		406
Total Distribution (1000 MT)	3723	3723	3921	3621		3276
Yield (MT/HA)	0	0	0	0		0
(1000 HA) ,(1000 TREES) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: FAS EU

In 2025, EU palm oil imports declined for the fifth successive year, from 7.11 MMT in 2020 to 3.12 MMT, the lowest volume reported by the Trade Data Monitor (TDM) since 2004. Total 2025 EU palm oil imports were split by 1.68 MMT of crude palm oil and 1.44 MMT of refined palm oil. During 2026 and 2027, EU palm oil imports are forecast to be further cut due to lower use by the food, feed, and biofuels sector. With shrinking EU supply, EU palm oil exports trended down last year. In 2025, EU palm oil exports totaled 102,000 MT with the United Kingdom as the main destination. Since 2020, palm oil imports have most declined in Spain, the Netherlands, Italy, Belgium, France, and Germany. During 2025, EU palm oil imports declined from all top five suppliers: Indonesia, Malaysia, Guatemala, Papua New Guinea, and Honduras, while imports from Costa Rica and Colombia increased. Imports declined most significantly from Indonesia due to the implementation of export taxes by the Indonesian government to curb domestic price inflation (for more information see GAIN report - [Indonesia Raises Palm Exports Levy](#), published on: May 21, 2025).

EU palm oil imports have declined mainly due to EU policies and market conditions. Consumer concerns about environmental and health impacts have reduced demand for palm oil in food products. In addition, the European Commission (EC) classifies palm oil production as high risk for ILUC, which limits its use as a feedstock for biofuels. A potential third factor will be the EUDR, coming into effect on December 30, 2026. The EUDR establishes rules for commodities identified as the main drivers to

deforestation and forest degradation, including cattle, cocoa, coffee, palm oil, rubber, soy, and wood. Palm oil producers and EU importers are concerned regarding geolocation and traceability elements of the EUDR, in particular for palm oil shipments sourced from small plots that are aggregated and transported in bulk. FAS EU Posts anticipate that a portion of the palm oil supply will be in compliance with the EUDR but that the volume will be limited, and sourcing compliant oil will come at a cost. While the EUDR is projected to have a negative effect on EU palm oil use and imports in 2026 and 2027, significant reductions have already occurred by an earlier phase out by the food, feed, and biofuel sector. For more information about the EUDR see the Policy section of this report.

In 2025, EU use of palm oil for food use is estimated at 1.75 MMT and forecast to decline to 1.70 MMT in 2027. In the EU, palm oil is less popular among consumers due to its high saturated fat content, and perceived risk of tropical deforestation, leading many brands to use "palm oil-free" labels as a major marketing tool. Despite this, it remains a staple ingredient that is technically difficult to substitute with other oils. Securing sustainability certification is now vital for gaining consumer trust and market acceptance. Besides consumers' concerns, price consideration also plays an important role in the declining use of palm oil by food processors. Since 2024, palm oil prices have risen significantly and, while generally still the lowest price option, palm oil has lost its substantial competitiveness with other vegetable oils. The comparatively high price of palm oil also negatively impacted feed use, which has been partially replaced by corn oil in compound feed formulations. The use of palm oil as a feed ingredient is estimated at 100,000 MT and forecast to decline to about 70,000 MT in 2027.

In 2025, EU palm oil consumption for industrial use is estimated at 1.12 MMT and projected to fall to 1.01 MMT in 2027. In 2025, the use of palm oil for biofuel production is estimated at 120,000 MT and projected to further decline to 85,000 MT in 2027. EU imports of crude palm oil, generally used as feedstock to produce biofuels, have been falling since 2020. Palm oil usage is primarily declining due to the phase-out of biofuels derived from high-risk ILUC crops. Under the EU RED II directive, these biofuels were capped at 2019 levels through 2023 and must be phased out entirely by 2030. However, producers may still certify feedstock as "low-risk ILUC" to remain compliant. Several countries (including Austria, Belgium, the Netherlands, Germany, Denmark, Sweden, Finland, and Italy) are phasing out palm oil faster than the EU deadline. These national bans and EU mandates target consumption, not production; facilities within these countries can still produce palm-based biofuels for export to other markets.

To encourage alternatives, the EC supports using by-products from oilseed processing and refining, which often count double toward blending mandates in various EU MS. While EU imports of palm waste products like palm fatty acid distillate (PFAD) and palm oil mill effluent (POME) surged after 2020, new Indonesian export restrictions enacted in January 2025 limited this supply (for more information see the GAIN report - [Indonesia Curbing Palm Waste Exports Discouraging CPO Mixture Practices](#), published on February 12, 2025). Consequently, the biofuels industry is shifting towards other agricultural and forestry waste streams. There is also growing interest in "novel" vegetable oils from

intermediate catch and cover crops. For more information about the use of palm oil for the production of biofuels see the [EU Biofuels Annual of 2025](#), published August 12, 2025.

The shrinking use of palm oil is projected to cut EU imports further to 2.97 MMT this year and 2.60 MMT in 2027. The EUDR is forecast to incentivize stock building by importers and processors during 2026. The built stocks are projected to be partially depleted in 2027 and press imports down during that year. While total EU palm oil imports are forecast to further decline in 2027, the share of EU imports from Indonesia could potentially increase because of the [Comprehensive Economic Partnership Agreement \(CEPA\)](#). The CEPA was signed by the European Union (EU) and Indonesia on September 22, 2025, and is anticipated to be implemented in the beginning of 2027. The trade agreement includes tariff-free quotas with reduced tariffs.

7. Peanut Complex

Table 16: Oilseed, Peanut – Production, Supply and Distribution

Oilseed, Peanut Market Year Begins	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
European Union						
Area Planted (1000 HA)	0	1	0	1		1
Area Harvested (1000 HA)	0	1	0	1		1
Beginning Stocks (1000 MT)	52	52	55	55		50
Production (1000 MT)	0	1	0	1		1
MY Imports (1000 MT)	948	962	935	920		920
Total Supply (1000 MT)	1000	1015	990	976		971
MY Exports (1000 MT)	42	61	45	58		55
Crush (1000 MT)	35	35	35	35		35
Food Use Dom. Cons. (1000 MT)	865	861	855	830		825
Feed Waste Dom. Cons. (1000 MT)	3	3	3	3		3
Total Dom. Cons. (1000 MT)	903	899	893	868		863
Ending Stocks (1000 MT)	55	55	52	50		53
Total Distribution (1000 MT)	1000	1015	990	976		971
Yield (MT/HA)	0	1	0	1		1
(1000 HA) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: FAS EU (data presented on an ‘in-shell’ basis)

Domestic food use consumption is expected to remain stable between MY 2025/26 and 2026/27, with few deviations observed in the trade data. The demand for peanuts from the food manufacturing sector is driven by consumer demand for healthier snacking options – particularly products that have no additives/preservatives, are sugar-free, or “all-natural.” While local sources suggest the prevalence of weight-loss drugs, such as Glucagon-like peptide-1 (GLP-1) Receptor Agonists, may depress overall demand for snacks in future years, its impact on peanut sales in the EU is likely to be relatively small in MY 2026/27.

MY 2024/25 saw the EU import a record-high volume of peanuts, with Argentina taking two-thirds of that trade, after bouncing back from widely reported crop issues experienced the previous year. Having offset some of the downturn in Argentinian exports in MY 2023/24, exports from the United States slipped back to more historic levels in MY 2024/25, supplying around 7 percent of EU imports, with China now the second largest supplier with a market share of 10 percent. The largest U.S. export markets within the EU were the Netherlands, Spain, and Germany.

Based on trade data for the first quarter of MY2025/26, Argentina's market share is holding steady, while exports from both the United States and China have fallen back significantly compared to the same three months the previous year. Exports of peanuts from the United States have faced both strong price competition from other suppliers and increased import controls for aflatoxin detections since late 2021. Moreover, exports of U.S. peanuts remain dependent on the ease with which U.S. suppliers can meet EU requirements for pesticide residues, aflatoxin levels, phytosanitary certificates, and private industry standards.

Table 17: Meal, Peanut – Production, Supply and Distribution

Meal, Peanut	2024/2025		2025/2026		2026/2027	
Market Year Begins	Oct 2024		Oct 2025		Oct 2026	
European Union	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	35	35	35	35		35
Extr. Rate, 999.9999 (PERCENT)	0.4286	0.4286	0.4286	0.4286		0.4286
Beginning Stocks (1000 MT)	0	0	0	0		0
Production (1000 MT)	15	15	15	15		15
MY Imports (1000 MT)	0	0	0	0		0
Total Supply (1000 MT)	15	15	15	15		15
MY Exports (1000 MT)	0	0	0	0		0
Industrial Dom. Cons. (1000 MT)	0	0	0	0		0
Food Use Dom. Cons. (1000 MT)	0	0	0	0		0
Feed Waste Dom. Cons. (1000 MT)	15	15	15	15		15
Total Dom. Cons. (1000 MT)	15	15	15	15		15
Ending Stocks (1000 MT)	0	0	0	0		0
Total Distribution (1000 MT)	15	15	15	15		15
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: FAS EU

Peanut crushing within the EU has not increased in recent years and there is currently a preference for other meals for animal feed. For this reason, little change is expected in MY 2026/27.

Table 18: Oil, Peanut – Production, Supply and Distribution

Oil, Peanut Market Year Begins	2024/2025		2025/2026		2026/2027	
	Oct 2024		Oct 2025		Oct 2026	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
European Union						
Crush (1000 MT)	35	35	35	35		35
Extr. Rate, 999.9999 (PERCENT)	0.3714	0.3714	0.3714	0.3714		0.3714
Beginning Stocks (1000 MT)	4	4	4	4		3
Production (1000 MT)	13	13	13	13		13
MY Imports (1000 MT)	47	47	60	45		45
Total Supply (1000 MT)	64	64	77	62		61
MY Exports (1000 MT)	6	6	6	6		6
Industrial Dom. Cons. (1000 MT)	0	0	0	0		0
Food Use Dom. Cons. (1000 MT)	54	54	67	53		52
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0		0
Total Dom. Cons. (1000 MT)	54	54	67	53		52
Ending Stocks (1000 MT)	4	4	4	3		3
Total Distribution (1000 MT)	64	64	77	62		61
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: FAS EU

Peanut oil must be labeled on EU food packaging as an allergen. The allergen designation for peanut oil deters widespread use of the product in food manufacturing in the EU. For this reason, EU peanut oil consumption has declined in the last ten years, and it has been increasingly substituted by other types of oils. Given stable food use volumes in recent years, it is likely that peanut oil's unique functional properties and entrenched cultural uses in key regions is providing a stable demand floor in the EU market. Brazil remains the leading supplier of peanut oil to the EU followed by Argentina and Nicaragua.

8. Olive Oil

Table 19: Oil, Olive – Production, Supply, and Distribution

Oil, Olive	2024/2025		2025/2026		2026/2027	
Market Year Begins	Nov 2024		Nov 2025		Nov 2026	
European Union	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Beginning Stocks (1000 MT)	181	181	251	271		291
Production (1000 MT)	2,110	2,110	2,055	2,035		2,030
MY Imports (1000 MT)	202	178	250	200		200
Total Supply (1000 MT)	2,493	2,469	2,556	2,506		2,521
MY Exports (1000 MT)	847	763	775	775		785
Industrial Dom. Cons. (1000 MT)	20	20	20	20		20
Food Use Dom. Cons. (1000 MT)	1,375	1,415	1,450	1,420		1,425
Total Dom. Cons. (1000 MT)	1,395	1,435	1,470	1,440		1,445
Ending Stocks (1000 MT)	251	271	311	291		291
Total Distribution (1000 MT)	2,493	2,469	2,556	2,506		2,521
(1000 HA) ,(1000 TREES) ,(1000 MT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Source: FAS EU

N.B.: Post trade and production data include only HS Code 1509.

MY 2026/27

Projections for MY 2026/27 are based on five-year average numbers, as it is too early to estimate MY 2026/27 while the MY 2024/25 harvest is just finishing.⁵ Olive oil yields are conditioned by spring temperatures during tree blooming (April and May) and fall precipitation patterns. Other factors that come into play to determine yield include trees alternative-bearing, whose impact is softened as irrigated olive groves enter production.

The EU is the world's largest olive oil producer, accounting for over 60 percent of global production. The main olive oil producers in the EU include Spain, which produces nearly 70 percent of the bloc's olive oil output, followed by other major producers, including Italy, Greece, and Portugal. To a much smaller extent, olive oil production also exists in France, Cyprus, Croatia, and Slovenia.

MY 2025/26

EU olive oil production for MY 2024/25 is estimated at 2 million MT, slightly down from MY 2024/25 levels. Additional information regarding EU Olive Oil supply and demand can be found in GAIN Report [EU Olive Oil Production Update 2025](#).

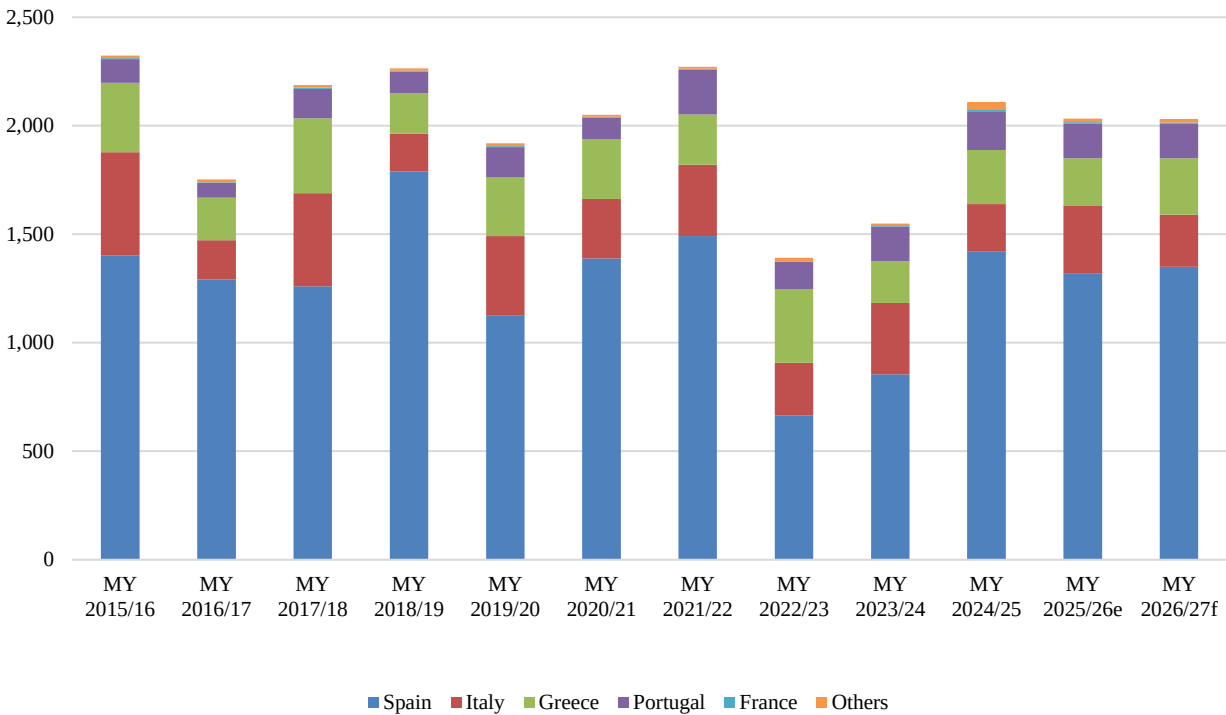
Unfavorable weather conditions including persisting precipitation towards the end of the harvesting season have resulted in fruit dropping and harvest delays in Spain and Portugal. These conditions have marginally curbed olive oil production expectations which now are expected at 1.3 million MT and 160 thousand MT respectively.

⁵ Olive harvest for milling purposes in the EU runs from late October until April although the bulk of the production is normally harvested between November and February.

Olive oil production in Greece is forecast down 12 percent compared to the previous year, at approximately 220,000 MT, due to a dry and warm summer, limited precipitation, and an olive fruit fly (*Dacus oleae*) infestation that reduced yields in all major production areas.

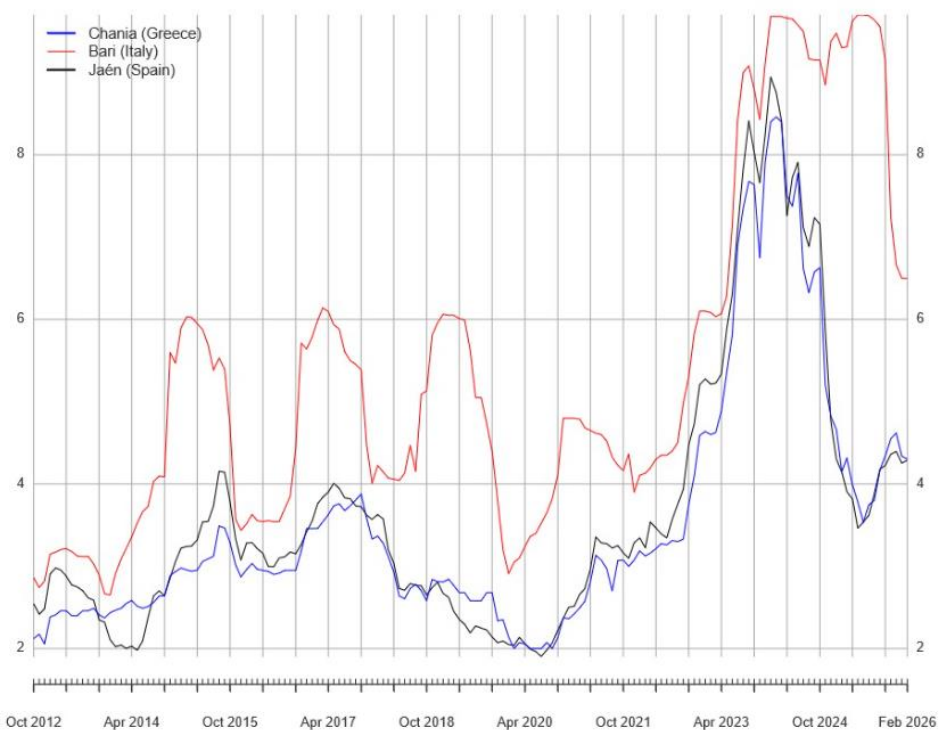
Unseasonably warm and humid conditions in October in Italy contributed to higher olive fruit fly activity, decreasing yields. Italy’s olive oil production for MY 2025/26 is estimated at 310,000 MT.

Figure 13: Olive Oil Production in the EU by Member State (1,000 MT)



Source: International Olive Oil Council data and estimates from FAS offices in Europe.

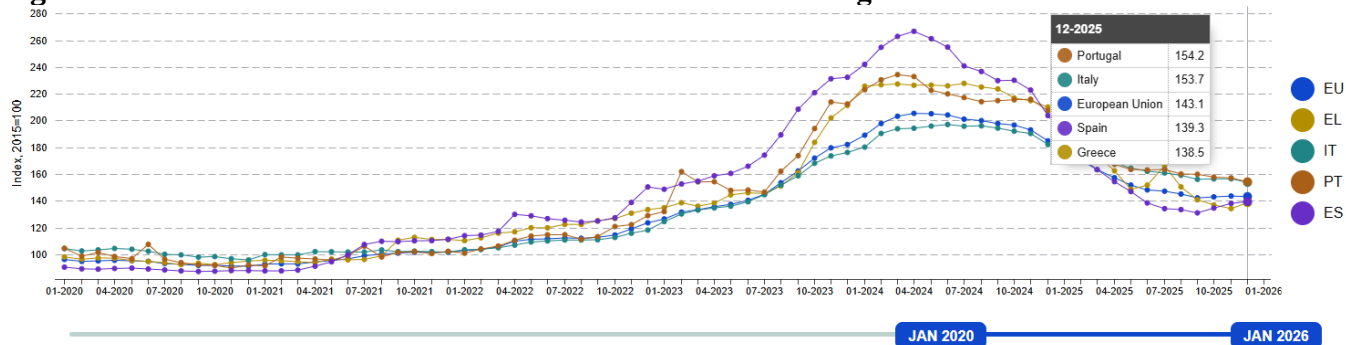
Figure 14: Extra Virgin Olive Oil Monthly Producers' Prices (Euro/100 Kg)⁶



Source: [International Olive Council](#).

After hitting historically high prices levels in MY 2022/23 and MY 2023/24 due to a short global supply, producers' (Figure 14) and consumers' (Figure 15) olive oil prices started easing in spring 2024 and have plateaued since MY 2024/25 allowing EU consumption to continue to recover in MY 2025/26, particularly in EU olive oil producing countries.

Figure 15: Olive Oil Consumer's Prices in Main EU Consuming Member States



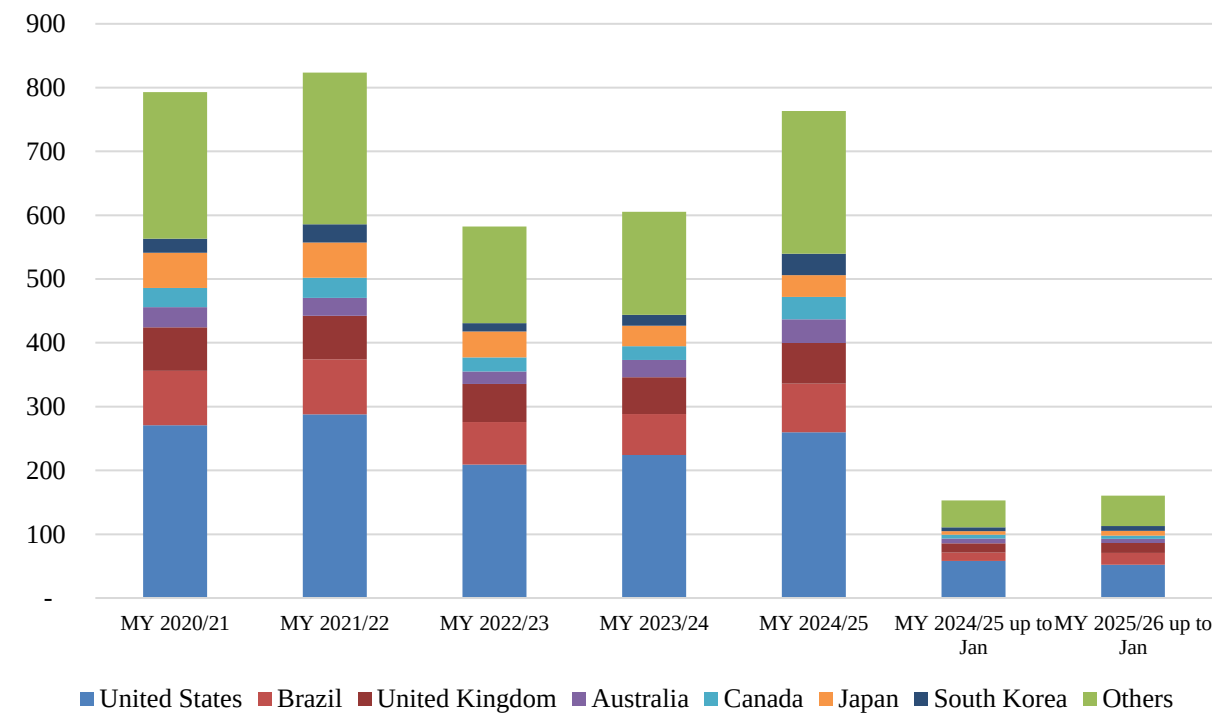
Source: [Food price monitoring tool \(europa.eu\)](#).

EU imports from [Tunisia](#)⁷ increased significantly during the first three months of MY 2025/26, exceeding the levels registered in the same period of MY 2024/25. Tunisia is by far the EU's largest

⁶ Jaén in Spain, Bari in Italy, Chania in Greece, and Tras-os-Montes in Portugal are the most representative olive oil markets of the European Union.

supplier of olive oil, followed at distance by [Turkey](#). Relatively high olive oil availability in EU and non-EU Mediterranean producers supply is expected to allow for both increased EU olive oil imports and exports in MY 2025/26. The United States, followed by Brazil, the United Kingdom, Australia, Canada, and Japan are the EU’s main export markets.

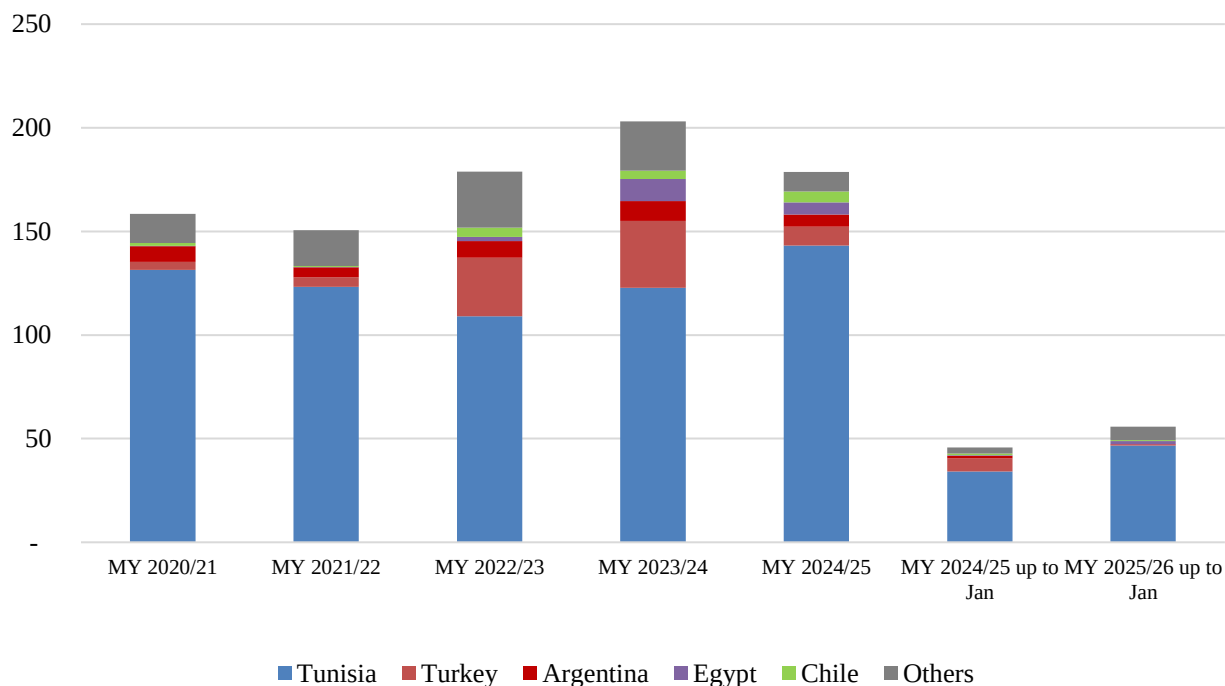
Figure 16: EU Exports of Olive Oil by Destination in MT



Source: Trade Data Monitor (TDM)

⁷ The 56,700 MT [olive oil quota from Tunisia](#) was fully allocated during the first tender in January 2026 (see Policy Section for additional details).

Figure 17: EU Imports of Olive Oil by Origin in MT



Source: Trade Data Monitor (TDM).

Given a second consecutive crop at normal production levels, olive oil stocks in the EU are anticipated to grow marginally at the end of MY 2025/26.

9. Policy

EU Deforestation Regulation

In June 2023, the EC adopted [Regulation 2023/1115](#), also known as the EU Deforestation Regulation (EUDR), aimed at preventing products causing deforestation from entering the EU. The proposal targets products identified as main drivers of deforestation, including palm oil and soybeans. In December 2024, the EU postponed the date of entry into application of the EUDR by one year to December 30, 2025.

In December 2025, the EU published [Regulation 2025/2650](#) which delayed the EUDR's entry into application for another year until December 30, 2026. The Regulation also creates new definitions that provide simplifications to some, primarily EU, operators. The new Regulation also calls on the Commission to publish a simplification review of EUDR by April 30, 2026.

For more information about the changes introduced by Regulation 2025/2650, please see GAIN Report: [EU Adopts Changes to Deforestation Regulation](#).

EU Policy Response to the War in Ukraine

Since February 2022, the war in [Ukraine](#), continues to put pressure on global food security as both countries are major exporters of feed and oilseeds products. The oilseeds sector has been impacted by disruption in trade flows and increased input prices, such as energy, fertilizers, and pesticides. Since the beginning of the war, the EU has tried to respond to disruptions in supply chains for agricultural products.

The EU granted Ukraine a temporary liberalization of trade with its Autonomous Trade Measures (ATMs) Regulation, which was in effect from June 4, 2022, until June 5, 2025. This regulation suspended import duties, quotas, and trade defense measures on Ukrainian exports to the EU, providing significant economic support during the Russia-Ukraine war.

Between June 6 and October 29, 2025, the EU-Ukraine trade relationship reverted to the 2014 Deep and Comprehensive Free Trade Area (DCFTA) via [Regulation 1132/2025](#) reintroducing import quotas on Ukrainian agricultural goods.

On October 29, 2025, the revised EU-Ukraine Deep and Comprehensive Free Trade Agreement (DCFTA) entered into force ([Regulation \(EU\) 2025/2199](#)). The new DCFTA updates the original agreement from 2014. The revised DCFTA increases market access in both directions compared to the 2014 agreement, but limits EU imports of sensitive agricultural products compared to the levels under the ATMs. It also enshrines a new safeguard clause and provides for the alignment of Ukrainian and EU production standards. For more information, please see [GAIN Report European Union Revises Import Quotas for Agricultural Products from Ukraine](#).

Increased Tariffs on Russian and Belarusian Goods

On May 30, 2024, the European Union adopted [Council Regulation \(EU\) 2024/1652](#)⁸ which increases tariffs on imports into the EU of soybeans, linseeds, rapeseed, sunflower seeds and other products from Russia and Belarus. In addition, Russia and Belarus will no longer have access to any of the EU's WTO quotas that offer better tariff treatment for some products. These measures concern products originating in or exported directly or indirectly from Russia and Belarus to the EU. They do not affect transit through the EU from both countries to other third countries. These measures entered into force on July 1, 2024.

On July 9, 2025, [Regulation 2025/1344](#) was published in the Official Journal. This Regulation increases tariffs by an additional 50 percent on top of the common rate for imports of certain goods originating in or exported directly or indirectly from Russia and Belarus. The list includes olive oil, palm oil, castor oil, sesame oil and margarine.

⁸ <https://eur-lex.europa.eu/eli/reg/2024/1652/oj>

Common Agricultural Policy (CAP)

The EU's new Common Agricultural Policy (CAP) for 2023-2027 was [adopted](#) on December 2, 2021, and published in the Official Journal on December 6, 2021. EU Member States (MS) were requested to submit so-called [Strategic Plans](#), incorporating MS specific goals and initiatives, by the end of 2021. The 'new' CAP was implemented as of January 1, 2023. In March 2024, following weeks of farmer protests across the European Union demanding less administrative burden and better prices, the European Commission published a legislative proposal to amend certain provisions of the Common Agricultural Policy (CAP). The updates to the CAP were adopted in May 2024 and published as [Regulation 2024/1468](#).⁹

On May 14, 2025, the European Commission published a proposal to simplify the CAP. The proposed measures target the administrative burden, controls, implementation of the CAP, as well as the CAP crisis management tools. Notably, the proposal simplifies environmental requirements (GAECs for good agro-environmental conditions) linked to eco-payments for farmers. The simplifications were published in the [Official Journal on December 19, 2025](#), for implementation starting in 2026.

Aid System for Oilseeds

Farmers do not receive specific payments for growing oilseeds. Except for the olive sector, there is no intervention (i.e., buying, export subsidy or other market support programs) available for oilseeds in the EU. See the olive oil section for additional information.

EU Vision for Agriculture and Food

On February 19, 2025, the European Commission (EC) published its [Vision for Agriculture and Food](#) for the 2024-2029 Von der Leyen II mandate. This document will be the basis of upcoming legislative proposals and other actions taken by the EU executive. The Vision lays down the need for the EU to ensure "a global level playing field" for its farmers and improve their competitiveness. To do so, the Commission proposes the adoption of mirror clauses, notably with regards to pesticides residues, increased border controls, and a slowdown of the pace of plant protection products bans, if no alternatives exist for farmers. It defends the need to sign Free Trade Agreements with more trade partners, while calling for boosting domestic production and diversifying import suppliers to reduce strategic dependencies for products like protein-rich animal feed and fertilizers. Domestically, the Commission seeks a simplification of the CAP with a shift towards more incentive-based payments. The EC also proposes to increase the EU's agricultural competitiveness with the swift adoption of proposed new genomic techniques regulation.

⁹ For more information, please see GAIN Report: [EU Commission Proposes Common Agricultural Policy Revisions Following Farmer Protests](#).

EU Omnibus on Food and Feed Safety

On December 16, 2025, the European Commission published [a proposal](#) for an omnibus regulation to simplify and strengthen food and feed safety requirements in the EU. This Regulation seeks to amend ten legal acts to simplify EU food and feed legislation. However, the proposed regulation also includes certain provisions based on the EU’s “mirror clause” concept that will impose EU environmental, food safety, and animal welfare production standards on imported products, creating new trade barriers.

EU Industry Code of Good Labelling Practice for Compound Feed for Food Producing Animals

The European Feed Manufacturers' Federation (FEFAC) and the organization representing European farmers and European agricultural cooperatives (Copa-Cogeca) have jointly developed a [Code of good labelling practice for compound feed for food producing animals](#). The updated version of the code was endorsed by the European Commission in December 2024.

Trade Policy

Blair House Agreement

The 1992 Blair House Memorandum of Understanding on Oilseeds [or Blair House Agreement (BHA)] between the United States and the EU was included in the EU WTO schedule of commitments and resolved a General Agreement on Tariffs and Trade dispute over EU domestic support programs that impaired U.S. access to the EU oilseeds market. As noted earlier, there are no crop specific payments for oilseeds—the BHA is maintained but not in use.

EU Retaliatory Tariffs Against U.S. Products

On February 5, 2026, the European Union published [Regulation 2026/295](#) in its Official Journal to extend suspension of the EU’s retaliatory tariffs for an additional six months to August 6, 2026. The Regulation notes that the European Union remains committed to making progress to ensure the full implementation of the August 2025 Joint Statement between President Trump and Commission President Von der Leyen.

On August 5, 2025, the European Union published [Implementing Regulation 2025/1727](#) suspending retaliatory tariffs on certain U.S. products imposed by [Implementing Regulation 2025/1564](#). This suspension was in place until February 6, 2026.

On July 24, 2025, the European Union (EU) published [Implementing Regulation 2025/1564](#) introducing retaliatory tariffs against U.S. goods valued at USD \$109 billion. The EU Regulation was set to enter into force on August 7, 2025. The full list of products subject to the retaliatory tariffs can be found in

GAIN Report European Commission Publishes Updated Retaliatory Tariff Regulation to Enter into Force on August 7 2025.

EU Free Trade Agreements (FTAs)

The EU is negotiating and has implemented several FTAs with other countries and regions, which include concessions on oilseeds. Additional information is available on the website of the EC at: <https://ec.europa.eu/trade/policy/countries-and-regions/negotiations-and-agreements/>.

New Zealand: On May 1, 2024, the trade agreement between the European Union and New Zealand entered into force. The trade agreement removes all tariffs at entry into force on EU agri-food exports to New Zealand. However, this is not the case for all agri-food imports into the EU with tariffs rate quotas for some products such as ethanol. More information about the agreement can be found [here](#).¹⁰

Mercosur: On January 17, 2026, the EU and the four Mercosur countries (Argentina, Brazil, Paraguay, and Uruguay) formally signed the EU-Mercosur Partnership Agreement (EMPA) and a parallel Interim Trade Agreement (iTA) in Asunción. This followed the political finalization reached on December 6, 2024. To address long-standing concerns regarding market disruption, the European Parliament approved a reinforced bilateral safeguard regulation on February 10, 2026. This mechanism allows the EU to temporarily suspend tariff preferences or reinstate duties if a surge in agricultural imports (including oilseeds and ethanol) causes or threatens serious injury to EU producers. A 5% increase in imports of sensitive products over a three-year average can now trigger a formal investigation. The agreement also stipulates that all trade in soy and other regulated commodities must comply with the EU Deforestation Regulation (EUDR), requiring full geolocation and traceability by the end of 2026. The agreement is currently undergoing a legal review by the European Court of Justice (ECJ) following a request from the European Parliament in January 2026 to ensure its compatibility with EU treaties. On March 23, 2026, the EU informed Mercosur countries about the provisional application of the iTA. The iTA will be applied provisionally from 1 May 2026, and tariffs will be removed on certain products as of day one. Under the agreement, duties will be phased out on 91 percent of EU exports to Mercosur and 92 percent of Mercosur exports to the EU. For oilseeds, this includes the immediate elimination of tariffs for EU exports of olive oil to Mercosur countries. Conversely, EU import duties on Mercosur soybean and sunflower oil are scheduled for elimination by year seven, and by year ten for biodiesel.

Mexico: On January 17, 2025, the EU and Mexico announced the conclusion of a new Modernized Global Agreement. In September 2025, the European Commission adopted proposals for an Interim Trade Agreement (iTA) to fast-track the trade pillar while the broader agreement undergoes full member-state ratification. As of February 2026, the agreement is moving toward a formal signature

¹⁰ https://policy.trade.ec.europa.eu/eu-trade-relationships-country-and-region/countries-and-regions/new-zealand/eu-new-zealand-agreement_en

expected before the summer, with implementation benefits targeted for later this year or early 2027. The agreement abolishes customs duties for most goods, including agricultural products. Olive oil, for example, will move from 20 percent tariffs on EU exports to Mexico to 0 percent. For other oilseeds and vegetable oils, the agreement provides for the gradual liberalization of duties, with most being phased out over a 7-year period to grant producers time to adjust.

India: On January 27, 2026, the EU and India concluded negotiations for a historic Free Trade Agreement (FTA). While the agreement excludes sensitive staples like dairy and sugar, it provides significant new market access for the oilseeds and vegetable oils sector. Olive oil tariffs, previously as high as 45 percent, will be eliminated (0 percent) over a five-year staging period. Similarly, tariffs on margarine and other vegetable oils will be phased out to 0 percent.

To protect the domestic crushing industry, India has successfully maintained protections for soymeal, which is excluded from full liberalization. The agreement features a bilateral safeguard mechanism to address sudden import surges and is expected to enter into force by early 2027 following formal ratification.

Boeing Case

On November 9, 2020, the European Union announced retaliatory tariffs against U.S. exports following the World Trade Organization's (WTO) ruling that authorized the EU to take such countermeasures. The European Commission published [Implementing Regulation 2020/1646](#)¹¹ that outlined the list of products subjected to a 25 percent additional tariff. The regulation entered into force on November 10, 2020. Groundnuts as well as crude fixed vegetable fats and oils were included. In June 2021, the European Union and the United States reached an understanding in the large civil aircraft dispute. On July 9, 2021, the European Commission adopted [Implementing Regulation 2021/1123](#)¹² suspending the application of tariffs until July 11, 2026.

EU Energy Policy and the Renewable Energy Directive

In December 2018, the EU published the Renewable Energy Directive II (REDII) in the Official Journal ([Directive 2018/2001](#)).¹³ REDII was revised in 2023 to account for the EU's new greenhouse gas emission reduction targets. A revised version of REDII entered into force on November 20, 2023, with an 18-month period to transpose most of the Directive's provisions into national law in the MS.

The revised REDII sets out an overall renewable energy target of at least 42.5 percent renewables binding at the EU level by 2030. For transport, MS can choose between a target of reducing greenhouse gas (GHG) intensity by 14.5 percent up to 2030 or ensuring a share of at least 29 percent of renewables

¹¹ https://eur-lex.europa.eu/eli/reg_impl/2020/1646/oj

¹² <https://eur-lex.europa.eu/legal-content/en/TXT/?uri=CELEX%3A32021R1123>

¹³ <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX:02018L2001-20231120>

in final energy consumption by 2030. The Directive also sets out a binding target on non-crop based advanced biofuels of 1 percent in 2025 and 5.5 percent in 2030, of which a share of at least 1 percentage point is from renewable fuels of non-biological origin in 2030. The EU capped crop-based biofuels at the level consumed in each Member State in 2020, with an additional 1 percent point allowed over present consumption up to an overall cap of 7 percent.

REDII puts in place a freeze on the use of high-risk indirect land use change (ILUC) biofuels at 2019 levels and a requirement to phase them out completely by 2030. In May 2019, the European Commission adopted [Delegated Regulation 2019/807](#)¹⁴ setting out specific criteria on what the EU considers a high-risk ILUC biofuel. The Commission determined that high ILUC-risk biofuel feedstocks are those for which the share of production expansion into land with high carbon stock is higher than 10 percent since 2008 and with an annual expansion of more than 1 percent. Given the 2019 calculations of the Commission, only palm oil falls under this definition and will need to be phased out by 2030. Soy, rapeseed, and sunflower do not fall under this definition. However, the Delegated Act gives the possibility for producers, including palm producers, to certify their feedstock as low-risk ILUC through additional measures.

On January 21, 2026 the European Commission published [a draft delegated regulation](#) amending delegated regulation 2019/807. Under the new calculations both palm oil and soybeans would fall under the definition of a high ILUC-risk feedstock for biofuel use and therefore be banned for biofuel use by 2030.

The draft delegated act also introduces a linear trajectory to enable a gradual adjustment of the market. The EC proposes that the share of high ILUC biofuels of total crop-based biofuel use shall not exceed the following percentages:

- 85.7% in 2024
- 71.4% in 2025
- 57.1% in 2026
- 42.8% in 2027
- 28.6% in 2028
- 14.3% in 2029
- 0% in 2030

As of publication this draft delegated regulation has not been formally adopted.

REDII also sets out sustainability criteria for biofuels to count toward the mandatory national renewable targets for transport fuels. The criteria include greenhouse gas savings, exclusion for land with high biodiversity value and high carbon stock, and measures to mitigate ILUC. REDII requires all biofuel

¹⁴ https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=uriserv:OJ.L_.2019.133.01.0001.01.ENG&toc=OJ:L:2019:133:FULL

used in the EU, whether produced in the EU or a third country, to demonstrably meet these criteria through compliance certification. In January 2019, the European Commission recognized the U.S. soy industry's scheme certifying U.S. soybean compliance. With this recognition, certified U.S. soybeans can be used for biofuel production in the EU and count towards RED targets. There are currently over a dozen other certification schemes recognized by the EU.

EU Plant Protection Products Policy

Plant protection products (PPPs) along with Maximum Residue Limits (MRLs) and import tolerances, are an increasingly important issue in the EU as there has been a significant reduction in the number of active substances approved for use. [Regulation \(EC\) No 1107/2009](#)¹⁵ and [Regulation \(EC\) No 396/2005](#)¹⁶ regulate PPPs and MRLs, respectively. There is a regular review of active substances for which the approval is up for renewal, as well as their associated MRLs. Existing MRLs are also being reviewed through a process known as an 'Article 12' review. [The link](#) refers to a list indicating the upcoming MRL reviews under this Article 12 process. It is important to note that this list is not all-inclusive. Stakeholders are encouraged to actively engage early in these review processes by reaching out to the applicant. Together with the applicant, they can ensure that the necessary data is available for review or if trials for data collection are in progress or should be initiated etc., especially if the substance is not used or authorized in the EU. Stakeholders are encouraged to engage with FAS on substances and MRLs of importance to their commodities and to check the USEU website for updates of the EU Early Alert.

EU Restrictions on the Use of Neonicotinoids: The EU has prohibited the use of three neonicotinoids (clothianidin, imidacloprid, and thiamethoxam) except for their application in permanent greenhouses since 2018, while a fourth one was banned in 2020 (thiacloprid). [Commission Regulation \(EU\) 2023/334](#)¹⁷ reduces the current EU maximum residue limits (MRLs) for clothianidin and thiamethoxam to the limit of determination (LOD) and will apply as of March 7, 2026. Imported products will then no longer be able to contain residues of these two neonicotinoids. The proposed reduction in MRLs is based on a stated interest in protecting pollinators in countries outside of the EU and is not related to food safety concerns.

Glyphosate: [Commission Implementing Regulation \(EU\) 2023/2660](#)¹⁸ renewed the approval of the active substance glyphosate for 10 years, until December 15, 2033. The renewal is subject to certain new conditions and restrictions, such as the prohibition of pre-harvest use as a desiccant and the need for certain measures to protect non-target organisms. The placing on the market of plant protection products containing the active substance remains under the responsibility of MS.

Agricultural Biotechnology

¹⁵ <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A02009R1107-20221121&qid=1708439066593>

¹⁶ <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A02005R0396-20231021&qid=1708439107170>

¹⁷ <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A32023R0334&qid=1708439162377>

¹⁸ <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A32023R2660&qid=1708439196867>

In the EU, the authorization for the cultivation of genetically engineered (GE) crops is governed by [Directive 2001/18/EC](#).¹⁹ However, GE crop cultivation remains highly limited. The only GE crop approved for cultivation is corn MON 810, which is grown exclusively in Spain and Portugal, accounting for just 1 percent of the total EU corn area. Additionally, since 2015, 19 EU countries have opted out of GE crop cultivation under [Directive \(EU\) 2015/412](#).²⁰ For the import, distribution, or processing of GE crops, [Regulation \(EC\) No 1829/2003](#)²¹ outlines the authorization process. Imported GE crops are predominantly used as animal feed, which must be labeled as "contains GE products". The EU imports both GE rapeseed and rapeseed meal and given its protein deficiency as well as over 30 million metric tons (MT) of soybeans and soybean meal, the majority of which are GE. For more information, please see the [EU Biotechnology and Other New Production Technologies Annual Report](#).

For plants obtained using genome editing and other new genomic techniques (NGTs), EU institutions have reached a [provisional political agreement](#) on a new regulatory framework, pending formal adoption by the European Parliament and the Council. The framework would establish two categories of NGT plants: those considered comparable to conventionally bred varieties, subject to a verification procedure and lighter requirements, and those remaining under rules broadly aligned with existing GMO legislation. Once formally adopted and published in the Official Journal, the regulation would enter into force and foresee a two-year implementation phase before becoming applicable. During this transition period, implementing acts and verification systems would be developed. Until the new regulation becomes applicable, plants obtained through genome editing continue to fall under the existing GMO legislation. Once the new framework applies, NGT products originating from third countries would be subject to the corresponding verification requirements.

Maximum Levels of Nickel

In February 2024, the EU agreed to establish maximum levels for nickel in oilseeds used as food. These levels will apply from July 1, 2025, onwards. Oilseeds put on the market before that date may remain on the market until their minimum durability or use-by data. The newly established levels will be published as an amendment to [Commission Regulation \(EU\) 2023/915](#).²² The Annex to this legislation will include the following addition:

¹⁹ <https://eur-lex.europa.eu/legal-content/EN/TXT/HTML/?uri=CELEX:02001L0018-20210327&from=EN>

²⁰ <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A32015L0412>

²¹ <https://eur-lex.europa.eu/legal-content/EN/TXT/HTML/?uri=CELEX:02003R1829-20210327&qid=1639496166824&from=EN>

²² <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A32023R0915&qid=1710321006917>

Table 20: Products covered by the new maximum levels of nickel

Product	Maximum level of nickel (mg/kg)
Sunflower seed	8
Peanuts	12
Soybeans	15

Please note that the maximum level does not apply to oilseeds for crushing and oil refining, provided that the remaining pressed oilseeds are not placed on the market as food.

Olive Oil Policy

The European Union has established a comprehensive policy framework for its olive oil sector.

Notably, the Private Storage Aid (PSA) mechanism ([EU Delegated Regulation 2016/1238²³](#)) lays down common eligibility rules for private storage aid for certain agricultural products including olive oil. The European Commission can provide private storage aid (PSA) for a period of 180 days if there are serious disturbances to the olive oil market in a certain region or if the average price for one or more of the following products is recorded on the market during a two-week period:

- € 1,779/ton for extra virgin olive oil
- € 1,710/ton for virgin olive oil
- € 1,524/ton for pomace olive oil

At the Member State level, on October 28, 2025, Spain published [Ministerial Order 1192/2025](#) creating an olive oil withdrawal mechanism to prevent potential market distortions in the event of national overproduction. The mechanism would activate if the initial stock levels on October 1st and production estimates reach 120 percent of the average level over the previous six marketing years. Different from the EU's PSA, Spain's market withdrawal mechanism is automatically triggered only by Spain's production levels and not by price level. If triggered, it is mandatory for all Spanish olive oil industry operators to withdraw oil from the market.

Based on production forecasts released at the beginning of October, this exceptional and temporary measure has not been triggered for MY 2025/26.

Duty-Free Quota for Olive Oil

In accordance with the Euro-Mediterranean Agreement, a 56,700 MT duty-free quota is open for Tunisian virgin olive oil imports into the European Union. Additional information on this regime is

²³ <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A02016R1238-20180207>

available in the [Commission Implementing Regulation \(EU\) 2020/761](#). Outside quota or preferential agreements, olive oil imports to the EU are subject to a 124.50 Euros/100 Kg duty.

Related Reports

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Attachments:

No Attachments